



BASIC UNDERSTANDING OF — **SPECIFIC** — **RELIEF ACT**

EDITOR

KIRAN RAI



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Centre for Training & Research in Commercial Regulations
of
Maharashtra National Law University, Mumbai
Presents

BASIC UNDERSTANDING OF
— **SPECIFIC** —
RELIEF ACT
1963

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BASIC UNDERSTANDING OF SPECIFIC RELIEF ACT

Copyright © 2024, Editor
ISBN : 978-81-979937-2-5
First Impression - 2024
Published by INTEGRITY EDUCATION INDIA

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Website: integrityeducation.co.in

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Printed in India @ New Delhi

About the Editor

Dr. Kiran Rai is an Associate Professor at Maharashtra National Law University Mumbai (MNLUMumbai. She is also the Director of Centre for Training and Research in Commercial Regulations (CTRCCR) at MNLUMumbai. Dr. Kiran Rai teaches primarily Commercial Laws courses. She has been a visiting faculty at National Institute of Securities Market (NiSM) , an educational initiative of SEBI, Nirma Institute of Engineering and Technology. Dr. Kiran Rai has been a member in various Consultancy Committees formed by Competition Commission of India (CCI), SEBI & NCW. She is dedicated towards interdisciplinary teaching and learning processes. She has authored a few books and many articles.

This Edited book has been an effort to encourage students towards good research and through that help their peers across India. This is the first publication of CTRCCR. Dr. Kiran Rai, as a director is committed to inculcate research aptitude in her students and motivate them to write and help in peer to peer learning.



Preface

The edited book , "Basic Understanding of Specific Reliefs", has been a collective effort of student members of Centre for Training and Research in Commercial Regulations of Maharashtra National Law University Mumbai. In Law curriculum Specific Relief Act 1963 is taught with Contract Law-I course. It is very rarely taught to the young students how Civil Procedure Code 1908 influences the specific reliefs sought in a plaint in law schools. This edited book is an effort to make young law students understand not only the types of reliefs available but also in which type of civil disputes they can be asked. This book develops the practical understanding about the situations where various reliefs may be asked, which reliefs may be clubbed together and which reliefs cannot be asked together. This book is easy to understand as language is simple and lucid. Every law student while studying CPC should read this book to relate the Specific Reliefs studied in their 1st year of course. This is a book brought out by students for the students. Hope this book is received well to keep young contributors motivated.



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Chapter-1

Recovery of Possession of Property

✦Prathamesh N Bhutada

INTRODUCTION

Recovery of property is covered in Sections 5 through 8. According to Section 5, an individual who is legally entitled to own a certain piece of immovable property may reclaim it through a lawsuit brought by the Code of Civil Procedure (CPC), 1908. Section 6 offers a unique remedy of possession through a brief procedure to anyone evicted from immovable property without permission or other than in accordance with the law. Recovery of moveable property is covered in Sections 7 and 8.

Section 5

A plaintiff under section 5 has a choice to sue either on the basis of (1) prior possession or on (2)the basis of title.¹ To determine the claim of the plaintiff it is pertinent to understand the meaning of the term possession and the distinction between possession and ownership (title).

Possession

A person is in possession of property when they have the ability to exclude others from it both in their own right and not just as a representative of another party, and when they intend to use this power of exclusion.² Possession is not merely actual use it also involves exclusive right in physical possibility of dealing with the property as he wishes.³

Hence, possession implies (1) actual power and apparent control over the property and (2) will to avail on self that power.⁴

Possession and Recovery of Property

Possession is prima facie proof of ownership of property; it is good title against all who cannot show better title. By itself, possession creates a possessory title that is good against everyone but the rightful owner, granting them a limited title to the property.⁵ Therefore, if the defendant has the possession of the property in a dispute, in order to regain possession, the plaintiff must demonstrate that he has a stronger claim to possession than the defendant has to gain the title of the property.⁶

When property is owned by one person, the title obtained by the possessor is valid against everyone, with the exception of the rightful owner.⁷ In certain situations, the person in possession

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¹ *Chander Dutt Sharma v Prem Chand*, 2018 SCC OnLine Del 9903; *Om Prakash v Anamika*, 2018 SCC OnLine Del 10579.

² *Ramachandra Deb v State of Orissa*, AIR 1957 Ori. 80.

³ *Bahadur Chand v Naina Mal*, AIR 1914 Lah 370 : 25 IC 35; *Emperor v Lallu Waghji*, (1919) 21 Bom LR 251.

⁴ Pollock & Mulla: The Indian Contract and Specific Relief Acts, 16th ed.

⁵ Sec. 110, Indian Evidence Act, 1872.

⁶ Sec. 6, Specific Relief Act,

⁷ *Ramesh Chand Ardawatiya v Anil Panjwani*, AIR 2003 SC 2508; *Sahodra Kuer v Gobardhan Tiwari*, AIR 1917 Pat. 546.

has a relative and imperfect title, but the owner's title is absolute and perfect. If the latter is ejected, he may file a claim for possession based on possessory title.⁸

Immovable Property

In the General Clauses Act⁹ immovable property has been defined to include, unless there be something repugnant in the context, land, benefits arising out of land, and things attached to the earth or permanently fastened to anything attached to the earth.

Recovery of possession of property and Code of Civil Procedure

Three types of actions can be brought in law for the recovery of specific immovable property.¹⁰ These are:

1. a suit based on title by ownership;
2. a suit based on possessory title; and
3. a suit based merely on the previous possession of the plaintiff, where he has been dispossessed without his consent, otherwise than in due course of law, the issue of title being irrelevant to the proceedings.

The provisions of the CPC, 1908 governs the filing of litigation of the first two types. Since the Act allows the CPC, 1908 to be applied to a possession claim, all of its pertinent sections will inevitably be applicable.¹¹ Merely proving that the person has possession is enough to maintain a suit under section 5 of the specific relief act.¹²

A person who is entitled may seek for a decree of ejectment and recovery of possession against the defendant under Provision Order XXI, Rule 35, and 36 of the CPC. The limitation to file a suit for recovery of possession of the property is 12 years. Because after 12 years the rule of adverse possession of the property will apply and the possessor will get the title of the property.

Relief of Possession

When a person is dispossessed from property, there is no scope for the relief of declaration of possession; the necessary prayer is one for recovery of possession.¹³ A required injunction is sought by the licensor when he wants to remove the licensee within a reasonable amount of time after the license's term has ended. But then the licensee becomes a trespasser, thus he has to ask for the relief of possession.¹⁴ The relief sought in a lawsuit that was effectively a possession suit should not be rejected just because the plaint refers to a complaint for a mandatory injunction.¹⁵ Without additional possession relief, a lawsuit brought by a non-possessor solely for declaration is unmaintainable.¹⁶

⁸ *B Gangadhar v VG Ramalingam*, (1995) 5 SCC 238.

⁹ Sec. 3 (26), General Clauses Act, 1897.

¹⁰ *Abdul Wajid v AS Onkarappa*, ILR 2011 Kant. 229

¹¹ *Dadu Dayal Mahasabha, Jaipur v Mahant Ram Niwas*, (2008) 11 SCC 753.

¹² *Somnath v. Raju*, AIR 1970 SC 846.

¹³ *Gangadhar Somarath v Honu Majhi*, AIR 1988 Ori. 141.

¹⁴ *Joseph Severance v Benny Mathew*, (2005) 7 SCC 667.

¹⁵ *Sant Lal Jain v Avtar Singh*, AIR 1985 SC 857.

¹⁶ *Arulmigu Chokkanatha Swamy Koil Trust v Chandran*, (2017) 3 SCC 702.

In a suit for recovery of possession, claims set out in Order II, rule 4 of CPC, 1908 can be joined without the leave of the court.

Whenever a suit is filed with regards to an immovable property the plaint shall contain a description of the property sufficient to identify it, and, in case such property can be identified by boundaries or numbers in a record of settlement or survey, the plaint shall specify such boundaries or numbers.¹⁷ Even the decree must contain description of the property.¹⁸

SECTION 6

The process outlined in Section 6 is straightforward because the goal of the law is to dissuade people from using any unethical methods to get rid of someone. Even if it were assumed that the person in settled possession of the property had no right to stay there, the owner cannot remove them from it without following the required legal procedures. A person cannot take the law into his own hands and forcibly evict a tenant after the lease has expired, even if they are a landlord, according to section 6 of the Specific Relief Act, 1963.

This provision only applies to someone who has committed an illegal act, even if it was the landlord, and has taken possession of the property by force without following the required legal procedures. While prohibiting forced eviction without legal remedy, Section 6 does not say that the individual who is being evicted has the right to be in that possession. At that stage, the issue of legitimate possession is not addressed. In a suit under section 6, the trial court cannot decide issues relating to right, title and interest.¹⁹

Facts which are to be determined in under this section

The suits under this section are filed to gain possession of the property and not to determine the ownership of the property or the title of the property. In a suit filed under section 5, the title of the property can be determined.

If the plaintiff decides to initiate an action under section 6, he is not required to provide proof of title.²⁰ However, he may continue to pursue a suit under section 5 within 12 years of dispossession, particularly if the six-month limitation specified by that provision has passed.²¹ Within 12 years after the date of dispossession, an action for possession of immovable property based on prior possession may be brought, and an application to alter the plaint to include this request may be made three years after the date of maintainability of the dispossession.²² The defendant may bring up the title issue if he decides to launch a lawsuit later. In such case, the plaintiff would either need to prove a better title or risk losing.²³ Under this section better title cannot be used as a defence by the defendant.

The court needs to determine

1. Prior possession of the property
2. Dispossession without consent of the plaintiff

¹⁷ Order VII, Rule, 3.

¹⁸ Order XX, Rule 9.

¹⁹ Amar Kumar Paul v Shyam Kandai Naga, T.S. No. 18/1991.

²⁰ Nair Service Society Ltd v KC Alexander, AIR 1968 SC 1165.

²¹ Article 64, Limitation Act, 1963.

²² Nair Service Society Ltd v KC Alexander, AIR 1968 SC 1165.

²³ GK Parthasarathy v K Gopal, 2016 (2) LW 754.

Jurisdiction to determine suit under Section 6

Under Section 9 of the Civil Procedure Code, 1908, the jurisdiction of the civil courts is outlined. It has been mentioned that every civil suit unless explicitly or impliedly barred will lie in the jurisdiction of the civil courts.²⁴ The powers of the civil courts in this case are neither barred by the agricultural tenancies²⁵ or remedies under Section 145 of CrPC.²⁶ Hence, all claims under this section will lie in the jurisdiction of the civil courts.

Possession of the property

Since, the relief under this section is solely based on proof of prior possession, it becomes important to understand the term possession. The term possession has been defined under General Clauses Act. We have discussed the same under that chapter relating to Section 5.

However, one key point which needs to be discussed in light of this section is legality of the possession. A trespasser cannot claim legal possession in courts.

An exception to legal possession is when a person is acting as a custodian on the order of another person. In this case, the possession will lie with the person who has authorised the person to be the custodian of the said property. Example - If the plaintiff was granted access to two rooms but required to surrender the keys to reception daily, paying a daily fee, and the control, possession, and admission rights remained with the defendants, it cannot be argued that the defendants relinquished possession or that the plaintiff held possession of the rooms.

Constructive possession

As a general rule, possession of part is, in law, possession of the whole, if the whole is otherwise vacant.²⁷ Example – A owns a land on 2 acres. He leases out 1 acre of the land to B and the remaining land is not utilised by either A or anyone else on behalf of A. B goes on to store his machines on the vacant land and maintains the land as well. In this case B can claim constructive possession of the land.

Exclusivity of the possession

The term "possession" is not limited to exclusive possession; a suit could still be pursued even if the property was held jointly.²⁸ A person who has joint possession of the property has rights equivalent of the person who has exclusive rights under this section.

Dispossession

The term "dispossessed" encompasses any deliberate and defiant violation of symbolic possession lawfully granted.²⁹ It occurs when the defendant seizes actual possession from the plaintiff or when property capable of possession is taken over by another person.³⁰ When someone holds settled possession of property, as opposed to fleeting possession, even if they have no legal right to it, the owner cannot dispossess them except through legal means. This section's stipulation cannot be invoked unless the plaintiff has been stripped of actual possession,³¹ although it has been ruled to also apply to the deprivation of symbolic possession.³²

²⁴ Section 9, Code of Civil Procedure, 1908.

²⁵ Yar Muhammad v Lakshmi Das, AIR 1959 All 1 (FB); Ram Lakhan v Tulsha, AIR 1954 All 199.

²⁶ Re Balakrishna Iyer, AIR 1950 Mad 753; Kunwar Singh v Damodar Singh, AIR 1949 All 203.

²⁷ Pollock & Mulla: The Indian Contract and Specific Relief Acts, 16th ed.

²⁸ Ashutosh Das v Sushma Rani Das, (1995) 3 GLR 292.

²⁹ Kumar Kalyan Prasad v Kulanand Vaidik, AIR 1985 Pat. 374.

³⁰ Sona Mia v Prokash Chandra Bhattacharjya, AIR 1940 Cal 464.

³¹ Sona Mia v Prokash Chandra Bhattacharjya, AIR 1940 Cal 464.

³² Kumar Kalyan Prasad v Kulanand Vaidik, AIR 1985 Pat. 374.

Reliefs under Section 6

A final decree which is passed under this section can only be of delivery of possession of the property. The court has powers to pass other orders as well to protect the property while the suit is pending before the court.

The court can pass the order of appointment of receiver under CPC.³³ It can also issue interim injunction to ensure that the property in dispute is not alienated, altered, demolished, changed, removed or destroyed during the pendency of the suit.³⁴ In exceptional circumstances, the Court has also ordered interim order of restoration of possession to plaintiff under Section 51 of the Code of Civil Procedure.³⁵

Where the property is no longer in existence, viz., it has been demolished, the plaintiff can only seek damages.³⁶ This is because no decree of possession can be passed in case the property is demolished.³⁷ The court can also order removal of anything which obstructs the plaintiff from taking the actual possession of the property.³⁸ However, if the court grants the possession of the property along with the obstructions to the plaintiff and the plaintiff incurs expenses to remove those obstructions then compensation for such expense cannot be granted by the court.³⁹ It is an obligation on the plaintiff to inform the court and get the obstruction removed by the order of the court in order to avoid expenses.

Section 7

This section deals with recovery of possession of specific movable property. For application of this section the property whose recovery is sought should be specific in nature and should be ascertainable,⁴⁰ and capable of being delivered.⁴¹

Locus to sue under Section 7

In order to have locus to maintain a suit under section 7 it suffices for the party asserting possession to have either an immediate right to possession or an existing right to possession.⁴² This may also entail having a special or transient claim to the property at hand, as in the case of a bailee, pawnee, lien holder, or finder of lost items.⁴³

Remedy under Section 7

The plaintiff is entitled to reliefs under Code of Civil Procedure if a claim is brought under section 7 by the means of a title suit.⁴⁴ While granting the relief there arise 2 situations – 1. The property is capable of being delivered, 2. The property cannot be delivered. According to **Order**

³³ Order XL, Rule 1, Code of Civil Procedure, 1908.

³⁴

³⁵ Meera Chauhan v Harsh Bishnoi, (2007) 12 SCC 201.

³⁶ Ashok Kumar Chowan v A G Anwar, AIR 2010 Kant 70.

³⁷ Ashok Kumar Chowan v A G Anwar, AIR 2010 Kant 70.

³⁸ Krishna Prasad Sinha v Vikash Singh, AIR 2007 Pat. 112.

³⁹ Rahmatulla v Moftzuilla, AIR 1915 Cal 687.

⁴⁰ Bhubaneswar Bhattacharjee v Dwarakeswar Bhattacharjee, AIR 1921 Cal 77.

⁴¹ Murugesu Mudali v Jotharam Davay, (1899) ILR 22.

⁴² Patta Kumari Bibi v Nirmal Kumar Sinha, AIR 1948 Cal 97.

⁴³ White v Morris, (1852) 21 LJ CP 185.

⁴⁴ Standard Chartered Bank v Andhra Bank Financial Services, (2006) 6 SCC 94.

XX, Rule 10 of the Code of Civil Procedure,⁴⁵ in the first scenario the can order the delivery of goods and in the second scenario the court can state the amount of money which has to be paid because the property cannot be delivered.

Section 8

This section addresses circumstances in which movable property is in the custody of someone other than the rightful owner. It describes four situations in which the property's owner, can require the defendant, who is in possession of the property, to restore it. First, the plaintiff has the right to ask for the restitution of any property held by the defendant in their capacity as trustee or agent. Second, the plaintiff may demand particular delivery if receiving compensation for the lost goods will not sufficiently address the issue.

Thirdly, the plaintiff may choose for specific delivery if it is difficult to assess the full extent of the harm brought about by the loss of the property. Finally, the plaintiff has the right to demand the return of the property if it was unjustly transferred from the plaintiff to the defendant. Essentially, under specific conditions specified by law, this section gives the rightful owner a way to legally take back movable property from someone else who is now holding it.

Difference between Section 7 and Section 8

No lawsuit may be filed against the owner under Section 8, but under Section 7, a person with a special or temporary right to present possession may file a lawsuit against the owner. Additionally, Section 7 provides for the return of movable property or its money value in the event that a decree is issued, whereas Section 8 only permits the return of a specific article. Under relief under Section 7 sell the property of the judgment-debtor and pay compensation to the decree-holder out of the sale proceeds if the defendant fails to comply with the decree ordering specific delivery, the amount lies in the discretion of the Court.⁴⁶ However, this cannot be done under Section 8.

Burden of Proof

It is a general rule that a person who brings a claim before the court has to prove the facts. In this case, the same general rule applies. To obtain a decree under this section, the plaintiff must assert and demonstrate that the defendant currently possesses the property and that the plaintiff is entitled to possession as per the provision outlined. The burden of proof lies with the plaintiff to establish the existence of a fiduciary relationship in clause (a) and to demonstrate the wrongful transfer in clause (d). The Explanation addresses the burden of proof in clauses (b) and (c), which falls on the defendant. The defendant must prove that monetary compensation would suffice as adequate relief and that determining the actual damage caused by the loss of the property wouldn't be excessively difficult. This can be achieved by demonstrating that the property in question is a common commodity, lacks special value to the plaintiff, or that its monetary loss can be easily determined.



⁴⁵ Order XX, Rule 10, Code of Civil Procedure, 1908.

⁴⁶ Order XXI, Rule 31, Code of Civil Procedure, 1908.

Chapter-2

Specific Performance of a Contract

†Kirti Kapoor and ††Nishit Rughwani

A contract shall be abided by the parties and be complied with, as per the terms therewith. Running on the principle of *Quid Pro Quo*, there exists a duty of all the parties to a contract to perform the part of the obligation as agreed by the parties. Specific performance runs on the principle of 'promissory estoppel' which establishes accountability on the part of the promisor that prevents from going back on a promise made if the other party has reasonably relied on that promise to their detriment. Since the consent of the parties is quintessential for any contractual relationship to exist, with the consent of the parties, the duties and obligations mentioned in the contract can be altered or quashed at the convenience of the parties. However, when such alterations or rescission happen without consent, the performance can be enforced by the innocent party against the defaulter. Section 9 to 25 of the SRA encompasses the provisions to enforce the right to specific performance.

SECTION 9: Defenses respecting suits for relief based on contract.

“Except as otherwise provided herein where any relief is claimed under this Chapter in respect of a contract, the person against whom the relief is claimed may plead by way of defence any ground which is available to him under any law relating to contracts.”

A person can claim various remedies concerning the specific performance of a contract. The section starts with an *“except as otherwise provided”* provides an exception to the proviso giving overriding effect to provisions of chapter II of SRA i.e. s. 9 to 25 on the usage of general defences as applicable to a contract as under *“any law relating to contracts”*. Sections 13 and 17 of the SRA, however, are exceptions to the blanket provision.

The provision is added to avoid multiplicity of defences like the uncertainty of contract, misrepresentation, undue influence, fraud, coercion, mistake of fact, etc. already mentioned in the Indian Contract Act, 1872 ('ICA').

The two essentials of the provision are as under:

1. The contract considering which specific performance and general defences are claimed must be valid as per the ICA¹.
2. The person against whom the relief is claimed shall be as per the qualifications stated in s 19 of the SRA.

The Code of Civil Procedure, Order II, Rule 2(1), mandates that every lawsuit contain the entirety of the claim to which the plaintiff is entitled based on a specific cause of action. The court must carefully review the complete factual matrix of both claims because, if the objection under Order II, rule 2 of the Code of Civil Procedure is upheld, the plaintiff will not be able to bring another complaint.

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¹ The Indian Contract Act, 1872, s 10.

Determination of validity of a contract shall be determined by the court before delving into the merit of the case.² There should be a contract between the concerned parties and not a mere agreement to claim specific performance.³ The contract in place shall be within the ambit of law, even if it is unjust, biased, the consequence of dishonest behaviour, oppressive or with inadequate 'consideration'.⁴ Additionally, a contract which is 'frustrated' within the meaning as stated in section 56 of the Indian Contract Act shall not be specifically enforced.⁵ Even a contingent contract can be enforced subject to certain conditions as was highlighted in the case of Ramzan v Hussaini, (1990).

The exception to the section, apart from the provisions of sections 13 and 17 of the SRA, are government contracts⁶ which are made in the exercise of executive power at the central or state level.⁷

SECTION 10. Specific performance in respect of contracts

"The specific performance of a contract shall be enforced by the court subject to the provisions contained in sub-section (2) of section 11, section 14 and section 16."

Section 10 of SRA was amended in the year 2018 as too much discretionary power was given to the courts which worked as a juxtaposition to the position of specific performance being a norm and not an exception. Before 2018, the words *"specific performance of any contract may, in the discretion of the court, be enforced"* in Section 10 of the Act, have been substituted with the words *"specific performance of a contract shall be enforced subject to Sections 11(2), 14 and 16 of the Act"*. When there is "No standard for ascertaining the actual damage" or Compensation is not "an adequate relief": must be determined by the court on factual basis.

Post-2018, the enforcement is subject to provisions of section 11(2), 14 and section 16 of SRA which shall be discussed at length at a later point. The discretionary power given to the court was restricted.

If there are no criteria to determine the real losses caused by non-performance, or if monetary compensation would not provide sufficient relief, the court may choose to require specific performance. There is a presumption that financial compensation is insufficient to sufficiently remedy a violation of a contract transferring immovable property.

The prerequisite for specific enforcement lies in two factors: firstly, the defendant(s) shall break the contract and secondly, the plaintiff must not have done no wrong and be ready and willing to fulfil his commitment under the terms of the contract.⁸ The willingness and preparedness thus, shall be ascertained based on the notices and communications made between the parties.⁹ Specific performance can only be granted when the party claiming it shows readiness and willingness to perform their obligations under the contract.¹⁰

² *Kammana Sambamurthy v Kalipatnapu Atchutamma*, 2010 AIR SCW 6219; *Ram Niwas v Bano*, 2000 AIR SCW 2996.

³ *Rjabu v Ramakrishna*, AIR 1973 Madras 70.

⁴ Indian Contract Act, 1872.

⁵ *Mahendra v Baikuthi*, 1977 2 SCC 496.

⁶ Constitution of India, Art. 299.

⁷ *Mayawanti v Kaushalya Devi*, (1990) 3 SCC 1; *Bishandayal & Sons v State of Orissa*, 2001 (1) SCC 555.

⁸ *Man Kaur v Hartar Singh Sangha*, (2010) 10 SCC 512

⁹ *Chand Rani v Kamal Rani*, 1997 1 SCR 227.

¹⁰ *Katta Sujatha Reddy v. Siddamsetty Infra Projects (P) Ltd*, (2023) 1 SCC 355.

As per Order VII, Rule 7, plaintiff waives his right to regard the contract as a claim for damages for breach of contract as a consequence of request of specific performance of the contract.¹¹

In the case of *Katta Sujatha Reddy v. Siddamsetty Infra Projects (P) Ltd*¹², the Supreme Court held that the 2018 amendment to the SRA is prospective in nature and cannot be applicable to transactions that took place prior to its coming into force.

SECTION 11. Cases in which specific performance of contracts connected with trusts enforceable

- “(1) *Except as otherwise provided in this Act, specific performance of a 1 [contract shall], be enforced when the act agreed to be done is in the performance wholly or partly of a trust.*
- (2) *A contract made by a trustee in excess of his powers or in breach of trust cannot be specifically enforced.”*

Section 11 states the situations where contracts with trusts can be specifically enforced.

Section 11(1): After the Amendment of 2018, the section was altered to replace “may, in discretion of the court” with “Specific performance of a contract shall” to cut down the power provided to the court to determine the enforceability and eliminate the ambiguity of the provision.

The establishment of a trust imposes a responsibility on the trustees that may be enforced even by outside parties who were not involved in the transaction at the time it was made if they have a stake in its outcome. Therefore, trust-related contracts may be expressly enforced at the request of either the beneficiaries or the trustees. Specific performance can be sought of the entire contract or a part thereof subject to section 13 of SRA.

Section 11(2) states the exception to clause 1 and states that when the trustee in this case acts more than his authority which in turn goes outside the scope of his duty and hence, he is not a competent person to claim specific performance. Similarly, when the trustee acts in violation of the duties associated with the trust, he loses his competency to claim specific performance of the contract.

The court can order specific execution of contracts pertaining to trusts. On the other hand, if the trustee violated the trust or acted outside of their authority, the court cannot enforce the agreement.

When there are more than one trustee, the consent of both the trustees become quintessential to specifically enforce a contract.¹³ There shall be sufficient proof that the trustee in question is empowered or authorised to receive balance consideration.¹⁴ The court can order specific execution of contracts pertaining to trusts. On the other hand, if the trustee violated the trust or acted outside of their authority, the court cannot enforce the agreement.

SECTION 12. Specific performance of part of a contract.

- “(1) *Except as otherwise hereinafter provided in this section, the court shall not direct the specific performance of a part of a contract.*

¹¹ *Indian Iron and Steel Co Ltd v C.G. Engg Pvt Ltd*, (1983) 1 CIV LJ 23.

¹² *Supra* 10.

¹³ *Sachchidananda Banerjee v Molly Gupta*, 2015 AIR CC 697 (CAL).

¹⁴ *Radhakrishna Dharmartha Private Trust v. Parmanand Soni*, (2011) 15 SCC 692.

- (2) *Where a party to a contract is unable to perform the whole of his part of it, but the part which must be left unperformed be only a small proportion to the whole in value and admits of compensation in money, the court may, at the suit of either party, direct the specific performance of so much of the contract as can be performed, and award compensation in money for the deficiency.*
- (3) *Where a party to a contract is unable to perform the whole of his part of it, and the part which must be left unperformed either—*
- (a) *forms a considerable part of the whole, though admitting of compensation in money; or*
 - (b) *does not admit of compensation in money; he is not entitled to obtain a decree for specific performance; but the court may, at the suit of the other party, direct the party in default to perform specifically so much of his part of the contract as he can perform if the other party—*
 - (i) *in a case falling under clause (a), pays or has paid the agreed consideration for the whole of the contract reduced by the consideration for the part which must be left unperformed and in a case falling under clause (b) 2 [pays or has paid] the consideration for the whole of the contract without any abatement; and*
 - (ii) *in either case, relinquishes all claims to the performance of the remaining part of the contract and all rights to compensation, either for the deficiency or for the loss or damage sustained by him through the default of the defendant.*
- (4) *When a part of a contract which, taken by itself, can and ought to be specifically performed, stands on a separate and independent footing from another part of the same contract which cannot or ought not to be specifically performed, the court may direct specific performance of the former part.*

Explanation. —For the purposes of this section, a party to a contract shall be deemed to be unable to perform the whole of his part of it if a portion of its subject matter existing at the date of the contract has ceased to exist at the time of its performance.”

Section 12 constitutes a complete code in respect of a claim for specific performance of part of a contract. Sections 14 to 17 of the repealed Act have been amalgamated, with modifications and the explanation based on section 13 of the repealed Act; together the law is stated with clarity.

Section 12(1) states that specific performance of parts of a contract cannot be enforced apart from the three circumstances discussed in the section. The specific enforceability of part of a contract is determined by the proportion of the part which can be performed to that which cannot be performed.

Section 12(2) deals with non-performance of a small proportion of the contract and if the aggrieved party agrees to monetary compensation, the court may direct either party of the suit the specific performance of the part that can be performed and monetary compensation for the part that cannot be performed.

The expression "does not admit of compensation" suggests that there is insufficient information to determine a just and reasonable sum representing the contract's explicit subject matter less what can be executed. A precisely precise quantity is not required. There won't be a situation in which

the compensation is uncertain if a credible estimate of the amount as the monetary value can be produced.

Section 12(3) deals with non-performance for a large proportion of the contract, here court must consider if the part not performed can admit monetary compensation or cannot admit monetary compensation. If monetary compensation is accepted then the court may direct either party of the suit to the specific performance of the part that can be performed and monetary compensation for the part that cannot be performed. If the monetary compensation is not accepted then the party defaulting "*pays or had paid the consideration for the whole of the contract without any abetment*".

A person is considered incapable of performing the entirety of the contract, according to Section 12, if a portion of the subject matter that existed at the time of the contract has ceased to exist at the time of performance.

Section 12 (4) encompasses situations when the part of the contract that can be performed stands separately then the part of the contract that cannot be performed the court may direct either party to the contract to perform the former part.

Explanation to the section specifies that the contract rendered impossible under section 56 ICA cannot be specifically enforced which talks about the doctrine of frustration which is dependent on the determination of the enforceability of such an event with no fault of the parties and leads the contract to be void. Due to avoidance of the contract, the subsequent obligations of the parties are also relinquished and hence can't be specifically enforced. The plaintiff is required to include specific statements or "*averments*" in their complaint or petition that demonstrate how their case meets the criteria for specific performance of part of a contract as per Section 12.

Acute portions of the contract cannot be specifically enforced¹⁵ except in specific circumstances as stated in subsections (2) to (4) of the section.¹⁶ The term "may" in sub-sections (2) and (3) denotes that the Court retains discretion over whether to give a decree of particular performance of a portion of the contract, even in situations when the requirements outlined in the section are met.¹⁷

Unless the portion of the contract that is not fulfilled is minor and permits compensation, the court cannot order a particular performance of only that portion. The other party must pay the whole consideration and give up all rights for the unperformed portion in order for the court to mandate a particular performance in the event that the unperformed party refuses to accept payment. This section promotes the idea that a party to a contract has the right to obtain the exact item for which they have agreed and that this is the foundation for the concept of specific performance¹⁸.

SECTION 13. Rights of purchaser or lessee against a person with no title or imperfect title.

“(1) *Where a person contracts to sell or let certain immovable property having no title or only an imperfect title, the purchaser or lessee (subject to the other provisions of this Chapter), has the following rights, namely:—*

¹⁵ *Baikunthi Devi v Mahendra Nath*, 1977 2 SCC 496.

¹⁶ *Surjit Kaur v Naurata Singh*, 2000 AIR SCW 3261.

¹⁷ *Govinda Naicken v Apathsahaya Iyer*, (1915) 37 Mad 403 : AIR 1915 Mad. 305.

¹⁸ *Balmukund Versus Kamla Wati*, AIR 1964 SC 1385.

- (a) *if the vendor or lessor has subsequently to the contract acquired any interest in the property, the purchaser or lessee may compel him to make good the contract out of such interest;*
 - (b) *where the concurrence of other person is necessary for validating the title, and they are bound to concur at the request of the vendor or lessor, the purchaser or lessee may compel him to procure such concurrence, and when a conveyance by other persons is necessary to validate the title and they are bound to convey at the request of the vendor or lessor, the purchaser or lessee may compel him to procure such conveyance;*
 - (c) *where the vendor professes to sell unencumbered property, but the property is mortgaged for an amount not exceeding the purchase money and the vendor has in fact only a right to redeem it, the purchaser may compel him to redeem the mortgage and to obtain a valid discharge, and, where necessary, also a conveyance from the mortgagee;*
 - (d) *where the vendor or lessor sues for specific performance of the contract and the suit is dismissed on the ground of his want of title or imperfect title, the defendant has a right to a return of his deposit, if any, with interest thereon, to his costs of the suit, and to a lien for such deposit, interest and costs on the interest, if any, of the vendor or lesser in the property which is the subject-matter of the contract.*
- (2) *The provisions of sub-section (1) shall also apply, as far as may be, to contracts for the sale or hire of movable property."*

Section 13 states the rights of the purchaser or the lessee. A person is said to hold no title when he has no transaction whatsoever to gain the rights over a property. Whereas, in the case of a joint ownership, for instance, the title obtained by the owners is imperfect. This corresponds to Section 43 of the Transfer of Property of Act. There are two points of difference, this section also applies to moveable properties, whereas Section 43 solely covers immovable property. Transfers other than sales or leases of property, such as mortgages and swaps, are also covered by Section 43.

Section 13(1): interpretation of the following phrases used in the subsection are noteworthy:

1. *"subsequently to the contract"*: it applies to the period of time subsequent to the contract till the date of decree.
2. *"acquired any interest in the property"*: if the lessor or the seller acquires any interest in the property, the suit for specific performance can be filed only by the purchaser or lessee.

Subsection 2 encompasses situations when a person with only an imperfect title enters into a contract to sell or lease a specific piece of property, clause (b) applies. In these situations, the transferee's title must be valid with the agreement of other parties, who are obligated to do so at the vendor's or lessor's request and whom the transferor can compel to specific performance. If there is a title defect as described in sub-section (1) clauses (a) to (c), this section enables the buyer the power to compel the vendor to convey the title, to obtain the consent or conveyance, or to redeem the mortgage, as required.

This provision is applicable to contracts of sale when the seller represents that the property being sold is free and clear of liens and where the total value of the liens does not exceed the purchase price as per subsection 3.

The phrase “*to sell unencumbered property*” incorporates a caveat emptor exemption, when the vendor claims to be selling unencumbered property, which he may have said explicitly or impliedly, or where he keeps silent while there is a duty to communicate.

Section 13(4) states that a vendor is required to provide the buyer with “a title free from reasonable doubt” in the absence of a contract to the contrary. The purchaser defendant is entitled to a decree for return of deposit, interest, and costs, as well as a lien for that amount on the interest of the vendor or lessor in that property, if the vendor or lessor with an imperfect title is a plaintiff and his suit is dismissed on the basis of his imperfect title.

In the case of *S. Kanaka Durga Manikyhamba v Ramapragada Surya Prakasa Rao*,¹⁹ it was held that where both parties are aware of the absence of title or defect in title at the time of entering into the agreement, specific performance will not be granted. Estoppel will not be applied in such cases. If the interest was not transferable under the law at the time of the contract it becomes transferable, relief can be obtained.²⁰

SECTION 14. Contracts are not specifically enforceable.

“*The following contracts cannot be specifically enforced, namely:—*

- (a) *where a party to the contract has obtained substituted performance of a contract in accordance with the provisions of section 20;*
- (b) *a contract, the performance of which involves the performance of a continuous duty which the court cannot supervise;*
- (c) *a contract which is so dependent on the personal qualifications of the parties that the court cannot enforce specific performance of its material terms; and*
- (d) *a contract which is in its nature determinable.”*

Section 14 lays down 4 cases in which contract can’t be specifically enforced.

Clause 1 of the sec. 14, which was earlier thus removed “*A contract for the non-performance of which compensation in money is an adequate relief*” has been described as Substituted performance.

What is meant by “*substituted performance of contract*” is that if one of the parties fails to perform, the aggrieved party may choose to have the contract carried out by a third party or agency. It is important to note that in such a case, he will be entitled to recover from the party in default, regardless of any additional costs he may incur.

As per Clause 2, “*performance of a continuous duty*”: the contracts which create continuous obligations on either of the parties that the court cant keep a track of shall not be specifically enforced.

¹⁹ *S. Kanaka Durga Manikyhamba v. Ramapragada Surya Prakasa Rao*, 2009 SCC OnLine AP 735.

²⁰ *Dr. C.L. Katial v. C.W.V. Madden*, 1961 SCC OnLine Punj 58.

In Clause 3, “*dependent on the personal qualifications*”: the contracts that are dependent on the personal qualifications of either of the parties to the contract which can’t be specifically enforced by the court due to limitation in supervision. Contracts of employment, contracts of personal service, contracts involving artistic skills, etc. It should be noted that this sub-section is an exception to all the restrictions laid down here.

Lastly, as per Clause 4: determinable contracts: determinable contracts are contracts where a contract can cease to exist if either of the parties at any point of time revoke the contract. Such contracts are not specifically enforceable.

It was decided in *Golden Tobacco*²¹ that one must understand the “*nature of agreement*” in order to determine whether or not an agreement is inherently determinable. The form of the agreement is a significant issue to consider when determining determinability, the court stated. This method is called the “*Nature of Agreement Approach*” from now on. This strategy has also been covered in a few previous rulings. When a contract could be terminated unilaterally before taking possession of the land, it was held to be determinable in nature.²²

In the case of *T.O. Abraham v Jose Thomas & Ors*²³, “[f]or a contract to become determinable, it has to be first shown by the defendant that its clauses and terms are such that it would become possible for either of the parties to determine and terminate it without assigning any reason”. For ease of reference, this approach for determining the determinability of an agreement is hereinafter referred to as “*Clause Oriented Approach*” there are thus two methods devised to determine determinability of a contract under this section.

SECTION 14A. Power of court to engage experts.

- “(1) *Without prejudice to the generality of the provisions contained in the Code of Civil Procedure, 1908 (5 of 1908), in any suit under this Act, where the court considers it necessary to get an expert opinion to assist it on any specific issue involved in the suit, it may engage one or more experts and direct to report to it on such issue and may secure attendance of the expert for providing evidence, including production of documents on the issue.*
- (2) *The court may require or direct any person to give relevant information to the expert or to produce, or to provide access to, any relevant documents, goods or other property for his inspection.*
- (3) *The opinion or report given by the expert shall form part of the record of the suit; and the court, or with the permission of the court any of the parties to the suit, may examine the expert personally in open court on any of the matters referred to him or mentioned in his opinion or report, or as to his opinion or report, or as to the manner in which he has made the inspection.*
- (4) *The expert shall be entitled to such fee, cost or expense as the court may fix, which shall be payable by the parties in such proportion, and at such time, as the court may direct.”*

²¹ *Golden Tobacco Limited v. Golden Tobie (P) Ltd.*, 2021 SCC OnLine Del 4506.

²² *Shantidevi P. Gaikwad v. Savjibhai Haribhai Patel*, (2001) 5 SCC 101; *See also Indian Oil Corpn. Ltd. v. Amritsar Gas Service*, (1991) 1 SCC 533.

²³ *T.O. Abraham v Jose Thomas & Ors*, (2018) 1 KLJ 128.

The court may choose to consult with one or more experts in this area to help with any specific issue pertaining to the lawsuit. The Amendment now allows judges the choice to consult experts when they are faced with a technical or scientific issue. Compared to expert testimony offered by the parties to bolster their arguments, one selected by the court may be more impartial and independent.

According to Section 14A(1), "*attendance of the expert for providing evidence*," the court may order the expert to appear and provide testimony, as well as to preserve relevant records.

Section 14A (2) additionally mentions to "*give relevant information*", the court may also order any person to assist the expert in the proceedings by giving relevant information, etc for inspection. Relevant information in the context is any related information that may benefit the advancement of the suit.

Such an opinion or report will be included in the court's and the suit's records, according to Section 14A(3). With the court's approval, the parties may question the expert in public.

As per section 14A(4) "*fee, cost or expense*" of the expert will be payable by the parties in the proportion determined by the court.

SECTION 15. Who may obtain specific performance.

"Except as otherwise provided by this Chapter, the specific performance of a contract may be obtained by—

- (a) any party thereto;*
- (b) the representative in interest or the principal, of any party thereto:*

Provided that where the learning, skill, solvency or any personal quality of such party is a material ingredient in the contract, or where the contract provides that his interest shall not be assigned, his representative in interest or his principal shall not be entitled to specific performance of the contract, unless such party has already performed his part of the contract, or the performance thereof by his representative in interest, or his principal, has been accepted by the other party;

- (c) where the contract is a settlement on marriage, or a compromise of doubtful rights between members of the same family, any person beneficially entitled thereunder;*
- (d) where the contract has been entered into by a tenant for life in due exercise of a power, the remainderman;*
- (e) a reversioner in possession, where the agreement is a covenant entered into with his predecessor in title and the reversioner is entitled to the benefit of such covenant;*
- (f) a reversioner in remainder, where the agreement is such a covenant, and the reversioner is entitled to the benefit thereof and will sustain material injury by reason of its breach;*
 - (fa) when a limited liability partnership has entered into a contract and subsequently becomes amalgamated with another limited liability partnership, the new limited liability partnership which arises out of the amalgamation.*
- (g) when a company has entered into a contract and subsequently becomes amalgamated with another company, the new company which arises out of the amalgamation;*

- (h) *when the promoters of a company have, before its incorporation, entered into a contract for the purposes of the company, and such contract is warranted by the terms of the incorporation, the company:*

Provided that the company has accepted the contract and has communicated such acceptance to the other party to the contract."

This section describes who can use the act to get a specific execution of a contract.

Unless the contract expressly states otherwise, any party to the agreement may obtain specific performance, as may their representative or principal. However, if a party's personal characteristics constitute a material component of the agreement or if the agreement prohibits the assignment of the interest, the representative or principal may not seek specific performance unless the party has already performed under the agreement or the other party has accepted the performance from the representative or principal.

Specific performance can also be obtained by other parties in certain specific cases, such as settlement upon marriage, compromise of dubious rights between family members, a tenant for life in the exercise of power, reversioners in possession or remainder, and limited liability partnership or company following amalgamation.

This section's contents are not exhaustive. The doctrine of privity of contract and subsequent exceptions are applicable for specific enforcement of the contract.²⁴ When a trust or charge on real estate is established in favor of a non-party to a contract, that party may also file a legal action.²⁵

SECTION 16. Personal bars to relief.

"Specific performance of a contract cannot be enforced in favour of a person—

- (a) *who has obtained substituted performance of contract under section 20; or*
- (b) *who has become incapable of performing, or violates any essential term of, the contract that on his part remains to be performed, or acts in fraud of the contract, or wilfully acts at variance with, or in subversion of, the relation intended to be established by the contract; or*
- (c) *who fails to prove that he has performed or has always been ready and willing to perform the essential terms of the contract which are to be performed by him, other than terms the performance of which has been prevented or waived by the defendant.*

Explanation.—For the purposes of clause (c),—

- (i) *where a contract involves the payment of money, it is not essential for the plaintiff to actually tender to the defendant or to deposit in court any money except when so directed by the court;*
- (ii) *the plaintiff must prove performance of, or readiness and willingness to perform, the contract according to its true construction."*

²⁴ *Mitar Sain v Data Ram*, 1938 O.W.N. 711.

²⁵ *Sk Khadimul Haque v Marai Dubey*, AIR 1965 Pat. 262.

This section defines which person cannot obtain specific performance. Unless the contract expressly specifies otherwise, any party may seek performance on behalf of themselves and their principal.

AS PER Section 16(a), before 2018, a person who should not receive compensation if he was not entitled to a compensation due to the breach of contract.

Due to the change in s20 of SRA along with other changes to the requirement of lack of adequate relief through compensation or inability to ascertain actual damage being essential to claim specific relief of a contract, s 16(a) was also altered. A person who had opted for “*substituted performance*” as mentioned under section 20 of SRA can’t seek specific performance of the contract.

Section 16(b): A person cannot claim specific performance of a contract if he is “*incapable of performing a contract*”, violation of any essential terms of the contract, acted in fraud, and wilfully acted at variance or sub variance which acted differently to the intention of the contract.

Section 16(c): A person who “*failed to prove*” that he has performed the performance of his part unless waived by the defendant himself.

According to Section 16, the plaintiff must demonstrate that they are prepared and ready to carry out their part of the contract in order for a specific performance to be enforced. Order 8, Rule 10 requires the defendant to expressly dispute the existence or legality of the contract; otherwise, it might be seen as an admission of the contract's legitimacy. The contract may be interpreted in favor of the plaintiff's claim under Section 16 if the defendant does not expressly refute it.

This verification plays a critical role in determining the plaintiff's preparedness and desire to fulfill their obligation under Section 16 of the Specific Relief Act.

Order VII, Rule 7 of CPC mandates verification of the plaint by an authorized person. The plaintiff must attest in the plaint that they are prepared and willing to fulfill their end of the claim when requesting specific performance. Order 7, Rule 7's verification requirement is in line with the spirit of Section 16, which is to make sure the plaintiff is sincere in their commitment to carrying out their end of the bargain.

The point of contention that has aroused in the past is determining the start of the limitation period for filing a suit for specific performance of a contract, when no specific date is stipulated for the performance of the contract under section 16 of SRA. The Supreme Court has now clarified that in such cases, the 3-year limitation period under Section 54 of the Limitation Act²⁶ commences from the date when the plaintiff becomes aware of the defendant's refusal to perform the contract, providing much-needed clarity and preventing indefinite pendency of such suits.

In the case of *Kamal Kumar v. Premlata Joshi & Ors.*,²⁷ the Hon'ble Supreme Court laid down certain requirements to be met in a suit for specific performance. Firstly, the parties must have a signed, legitimate contract in place for the sale or purchase of the subject property. Secondly, the plaintiff must have been ready and willing to perform their part of the contract, and they must still be ready and willing to perform their part as mentioned in the contract. Thirdly, the plaintiff must

²⁶ *Siddamsetty Infra Projects Pvt. Ltd vs Debbad Visweswara Rao (Dead, Through Lrs) & Ors*, (2022) CIVIL APPEAL NO. 5824 Of 2022 (India).

²⁷ *Kamal Kumar v. Premlata Joshi & Ors*, Civil Appeal No. 4453 Of 2009.

have, in fact, performed their part of the contract, and if they have, then the court must consider how, to what extent, and in what manner they performed, and whether such performance was in conformity with the terms of the contract. Fourthly, the court must determine whether it will be equitable to grant the relief of specific performance to the plaintiff against the defendant in relation to the suit property, or if it will cause any kind of hardship to the defendant, and if so, how, in what manner, and to what extent such relief, if eventually granted to the plaintiff, will cause hardship. Finally, the court must consider whether the plaintiff is entitled to any other alternative relief, namely, refund of earnest money, etc., and if so, on what grounds.

These questions reflect statutory requirements as stated in the Act and the forms 47/48 of Appendix A to C of the Code of Civil Procedure. With proper evidence and pleadings only, the court can exercise the discretion to grant specific performance.

This discretionary power was taken away with the Amendment of 2018 and as confirmed in the case of *B. Santoshamma v. D. Sarala*²⁸, the requirements as stated in sections 11, 14, and 16 of the Act shall be complied with, bringing in objectivity in granting the relief of specific performance.

SECTION 17. Contract to sell or let property by one who has no title, not specifically enforceable.

- “(1) *A contract to sell or let any immovable property cannot be specifically enforced in favour of a vendor or lessor—*
- (a) *who, knowing himself not to have any title to the property, has contracted to sell or let the property;*
 - (b) *who, though he entered into the contract believing that he had a good title to the property, cannot at the time fixed by the parties or by the court for the completion of the sale or letting, give the purchaser or lessee a title free from reasonable doubt.*
- (2) *The provisions of sub-section (1) shall also apply, as far as may be, to contracts for the sale or hire of movable property.”*

Section 17(1) of the act states two conditions when the contract of sale of immovable property.

- a. “not to have any title to the property” or bad title: When the vendor or lessor with no title to the property believing to hold the same.
- b. “a title free from reasonable doubt” or doubtful title: title is not proved, or where the correctness of the title depends upon facts capable of being disputed.¹⁰⁰³ The principle is that it is not reasonable to compel a purchaser to fulfil his contract when the title is open to so much and such plausible objection that, even though on full argument it might turn out to be good, to buy such a title would be to risk buying a law suit.

S 17(2) states that the that 17(1) is applicable to movable property as well.

Judicial stance:

²⁸ *B. Santoshamma v. D. Sarala*, (2020) 19 SCC 80.

In the case of *S. Kanaka Durga Manikyhamba v Ramapragada Surya Prakasa Rao*²⁹ it was held that where both parties are aware of the absence of title or defect in title at the time of entering into the agreement, specific performance will not be granted. Estoppel will not be applied in such cases.

SECTION 18. Non-enforcement except with variation.

“Where a plaintiff seeks specific performance of a contract in writing, to which the defendant sets up a variation, the plaintiff cannot obtain the performance sought, except with the variation so set up, in the following cases, namely: —

- (a) *whereby fraud, mistake of fact or misrepresentation, the written contract of which performance is sought is in its terms or effect different from what the parties agreed to, or does not contain all the terms agreed to between the parties on the basis of which the defendant entered into the contract;*
- (b) *where the object of the parties was to produce a certain legal result which the contract as framed is not calculated to produce.*
- (c) *where the parties have, subsequently to the execution of the contract, varied its terms.”*

This section provides for the exceptions to the principle that no specific performance can be sought when the written contract was altered by the defendant. Section 18 of the Specific Relief Act grants the court the power to order Plaintiff to obtain specific performance of the contract even after the variation by the defendant, IF the variation done by the defendant falls under one of the three sub section-

S 18 (a): *“in case of fraud, mistake of fact or misrepresentation”*: misrepresentation under section 18 of ICA, fraud under s 17 ICA, and mistake of fraud render the contract non-enforceable and when the *“terms or effect different from what the parties agreed”*, the consent isn’t achieved in the same sense for the same thing and hence need variation to be specifically enforced.

OR

When a contract *“does not contain all the terms agreed”* which was a material term to the parties, the contract needs to be altered to include such term in the document.

S 18 (b): The parties have been agreed about the purpose of their contract at the time it was made, but the document does not reflect *“the object of the parties”*, and does not achieve the legal result, in such cases, the contract needs variation to rectify the flaw.

S 18(c): Parties to a contract in writing can set up and prove any distinct subsequent oral agreement to modify a contract, except in cases where the variation is required by law, to be in writing or registered. Where a contract in writing has been varied *“subsequently to the execution varied its terms”*, it is only the varied contract that can be specifically enforced.

SECTION 19. Relief against parties and persons claiming under them by subsequent title.

“Except as otherwise provided by this Chapter, specific performance of a contract may be enforced against

²⁹ *S. Kanaka Durga Manikyhamba v Ramapragada Surya Prakasa Rao*, AIR 2010 AP 99.

- (a) *either party thereto;*
- (b) *any other person claiming under him by a title arising subsequently to the contract, except a transferee for value who has paid his money in good faith and without notice of the original contract;*
- (c) *any person claiming under a title which, though prior to the contract and known to the plaintiff, might have been displaced by the defendant;*
- (ca) *when a limited liability partnership has entered into a contract and subsequently becomes amalgamated with another limited liability partnership, the new limited liability partnership which arises out of the amalgamation.*
- (d) *when a company has entered into a contract and subsequently becomes amalgamated with another company, the new company which arises out of the amalgamation;*
- (e) *when the promoters of a company have, before its incorporation, entered into a contract for the purpose of the company and such contract is warranted by the terms of the incorporation, the company:*

Provided that the company has accepted the contract and communicated such acceptance to the other party to the contract."

Section 19 talk about unless specified otherwise in the same chapter, specific performance (actual execution/fulfillment) of a contract can be enforced against the following parties.

Section 19 (1): This means that specific performance of a contract can be enforced against either party to the contract.

Section 19 (2): "*any other person claiming under him by a title arising subsequently to the contract*" This refers to any person who claims rights under one of the original parties to the contract, but after the contract was formed. However, it excludes a transferee (someone to whom a right or property is transferred) who paid for the transfer in good faith and without knowledge of the original contract.

Section 19 (3): deals with situations where a person claims rights or title (ownership) under a source that existed before the contract in question, and this prior title was known to the plaintiff. However, the key aspect is that even though this prior title existed and was known, it could have been displaced or overridden. In such cases, the person claiming under that prior but displaceable title can still be subject to specific performance of the contract in favor of the plaintiff.

Section 19 (ca): This line states that if a limited liability partnership (LLP) entered into a contract and then merged (amalgamated) with another LLP, the new LLP formed as a result of the merger can be held liable for specific performance of the original contract.

Section 19 (4): Similar to 19(ca), but applicable to companies instead of LLPs. If a company enters into a contract and later amalgamates with another company, the new company formed as a result of the amalgamation can be enforced to specifically perform the original contract entered into by the pre-merger company.

Section 19 (5): This section covers pre-incorporation contracts entered by promoters (individuals involved in forming a company) for the purpose of the company. If such a contract is warranted (justified) by the terms of the company's incorporation, the company can be held liable for the

specific performance of that contract. However, this is subject to the condition that the company has accepted the pre-incorporation contract and communicated its acceptance to the other party.

SECTION 20. Substituted performance of contract.

- “(1) *Without prejudice to the generality of the provisions contained in the Indian Contract Act, 1872 (9 of 1872), and, except as otherwise agreed upon by the parties, where the contract is broken due to non-performance of promise by any party, the party who suffers by such breach shall have the option of substituted performance through a third party or by his own agency, and, recover the expenses and other costs actually incurred, spent or suffered by him, from the party committing such breach.*
- (2) *No substituted performance of contract under sub-section (1) shall be undertaken unless the party who suffers such breach has given a notice in writing, of not less than thirty days, to the party in breach calling upon him to perform the contract within such time as specified in the notice, and on his refusal or failure to do so, he may get the same performed by a third party or by his own agency:*
- Provided that the party who suffers such breach shall not be entitled to recover the expenses and costs under sub-section (1) unless he has got the contract performed through a third party or by his own agency.*
- (3) *Where the party suffering breach of contract has got the contract performed through a third party or by his own agency after giving notice under sub-section (1), he shall not be entitled to claim relief of specific performance against the party in breach.*
- (4) *Nothing in this section shall prevent the party who has suffered breach of contract from claiming compensation from the party in breach.”*

Section 20 of the Specific Relief Act gives the court discretionary power to grant specific performance of a contract, emphasizing that it's not obligated to provide this remedy solely because it is legally permissible. Additionally, the section introduces the concept of "*substituted performance*." There has been amendment in the section -

Before 2018: discretion as to decreeing specific performance.

Section 20(1): The act dealt with the discretionary power of the court to grant specific performance. The court had explicit power to use its discretion and not grant specific performance merely because it was lawful in nature.

Section 20(2): The repealed section 20 the court had the power not to grant specific performance in the following cases-

Section 20(2)(a): "*an unfair advantage over the defendant*" which states the unfairness of the contract may appear from the terms of the contract, from the conduct of the parties at the time of entering into the contract, or other surrounding circumstances. It is not necessary that the contract should be voidable. "*Inadequacy of consideration*" which states Inadequacy of consideration can't imply unfair advantage in its essence. Yet, during a claim of unfair advantage, this aspect may be considered by the courts.

Section 20(2)(b): Specific enforcement is refused where it would cause considerable "*hard ship to the defendant which he did not foresee*", whereas non-performance would cause no such hardship to the plaintiff. "*Hardship by the acts of plaintiff*" where ordinarily, the fact that the

performance would cause severe hardship to the defendant has to be considered on the basis of facts existing at the time of the contract. And where the plaintiff has caused the hardship by his subsequent conduct, that would also be taken into account. The doctrine of comparative hardship has been recognized in India.

Section 20(2)(c): *"inequitable to enforce specific performance."* here the court takes into account a number of factors when determining whether an order of specific enforcement would result in unfair outcomes, including the fact that the contract is one-sided, that one party is imposing obligations on the other, and that the parties are not on an equal footing. Under such cases, even while the conditions may not render the contract voidable, they unquestionably constitute special enforcement inequitable. *"Plaintiff completed his part"* Means There is discretion in the relief. The claimant's credentials should be honest and legitimate. Even if the transaction otherwise complies with the law, the party is ineligible to seek relief if there is a lack of bona fides in any of the pleadings, whether it relates to the agreement's terms, the fact of payment, etc.

Need of the amendment:

The reason for the amendment was to shift the burden of proof. Prior to an amendment, Section 20 gave courts the authority to order a party to comply in accordance with a contract's exact terms if they thought it would be *"just, equitable, and convenient."* This latitude frequently resulted in erratic decisions and delays. Following the amendment, a new clause replacing Section 20 made specified performance the rule rather than the exception. The party who violates the contract must now demonstrate certain circumstances in order to get damages instead. This was done in an effort to promote timely contract fulfilment and boost predictability.

After 2018: Exception to specific performance.

Provides for substituted performance of the contract. Substituted performance means where the contract is not performed by one of the parties to the contract the aggrieved party has the option to get the contract complied through a third party or agency, and it is noteworthy that whatever or other expenses he may have to bear, he is in breach of contract will be able to recover from party in default.

Section 20(1): *"Without prejudice to the generality"*, this means that the specific performance mentioned in the contract even if it being at the time of entry to the contract should not reduce the scope of generality of the principle. *"Except as otherwise agreed upon"* means if the parties entering into the contract have specifically mentioned in the contract that a particular Substitute performance to be performed in a breach of contract until then this section will be held valid. The section states *"through a third party or by his own agency"*, the section provides the option to the aggrieved party of the contract to recover their losses through a third party or by his own agency. The line *"recover the expenses and other costs"* the losses taken by the aggrieved party can be recovered using this section.

S 20(2): *"time as specified in the notice"* No substitute performance of the contract can take place unless the party that has suffered the breach has not given a notice to the party that has breached the contract of not less than 30 days, asking the nonperforming party to perform the contract within a time specified in the notice. The section head states that *"performed by a third party or by his own agency"*, on the nonperforming parties refusal or failure to perform their part in the contract, they can get their part performed by a third party or his own agency.

S 20(3): Not be entitled to claim relief of specific performance, If the nonperforming party has completed their part of the contract through a third party or by his own agency then the party who suffered the breach cannot claim performance to the contract.

S 20(4): Compensation from the party in breach if it has also been mentioned that once the substituted performance provision requirement has been invoked, the affected party would then not be able to claim specific performance i.e., making the defaulting party to perform the contractual obligations as per earlier agreed terms.

In the case of *Sughar Singh v. Hari Singh*³⁰, the Supreme Court observed that the provisions substituted under the Amendment of 2018 shall act as guidance but not be retroactively applicable to the cases. It has been held that the power under section 20 is discretionary to the court and will depend on the facts of the case, this was done even after the amendment done in 2018.³¹

It states that the court has the authority to order specific performance, but that it is not required to do so just because it is legal. The court's discretion must be used sensibly, within the bounds of judicial principles, and open to review by an appeals court. If the defendant entered into the contract under circumstances that make it unfair to enforce specific performance, if performing the contract would put the defendant in an unanticipated hardship, or if the plaintiff is given an unfair benefit by the contract, the court may decline to order specific performance. On the other hand, if the plaintiff has incurred losses or has a significant stake in the contract's fulfilment, the court may grant particular performance. The court must be convinced that the contract is certain and unambiguous, that valuable consideration has been given, that the contract is fair, and that it has not been vitiated by fraud, error, or misrepresentation before issuing an order for particular performance.

Special Provisions for Contracts Relating to Infrastructure Projects (20A and 20B)

Given the significance of infrastructure projects in India and as a part of the “*ease of doing business*” initiative by the government, the amendments grant special treatment to the infrastructure projects. ‘*Infrastructure project*’ has been defined to include scheduled categories of projects such as transport, energy, water and sanitation, communication, and social and commercial infrastructure.

SECTION 20A. Special provisions for contract relating to infrastructure project.

“(1) *No injunction shall be granted by a court in a suit under this Act involving a contract relating to an infrastructure project specified in the Schedule, where granting injunction would cause impediment or delay in the progress or completion of such infrastructure project.*

Explanation. —For the purposes of this section, section 20B and clause (ha) of section 41, the expression “infrastructure project” means the category of projects and infrastructure Sub-Sectors specified in the Schedule.

(2) *The Central Government may, depending upon the requirement for development of infrastructure projects, and if it considers necessary or expedient to do so, by notification*

³⁰ *Sughar Singh v. Hari Singh*, 2021 SCC OnLine SC 975.

³¹ *P. Ramasubbarao v. V. Vijayalakshmi*, (2022) 7 SCC 384.

in the Official Gazette, amend the Schedule relating to any Category of projects or Infrastructure Sub-Sectors.

- (3) *Every notification issued under this Act by the Central Government shall be laid, as soon as may be after it is issued, before each House of Parliament, while it is in session, for a total period of thirty days which may be comprised in one session or in two or more successive sessions, and if, before the expiry of the session immediately following the session or the successive sessions aforesaid, both Houses agree in making any modification in the notification or both Houses agree that the notification should not be made, the notification shall thereafter have effect only in such modified form or be of no effect, as the case may be; so, however, that any such modification or annulment shall be without prejudice to the validity of anything previously done under that notification.*”

Section 20A (1): “No injunction shall be granted” by a court in a suit involving a contract related to infrastructure project “specified in the Schedule” if such an injunction leads to any “impediment or delay in the progress” or “completion of such infrastructure project”.

Section 20A (2): The power to amend the schedule specifying the scope of the “infrastructure project” shall rest with the central government by a notification in the official gazette “upon necessity”.

Section 20A (3): Such a notification mentioned under clause 2 shall be laid down in each house of parliament with the following requisites-

1. When the parliament is in session for a period of 30 days and has one or more sessions.
2. both the House of Parliament before the expire pf the session or the successive session decide the validity of the modification.
3. Modification or annulment made by the houses shall be without prejudice to the validity of anything previously done under that notification.

SECTION 20B. Special Courts.

“The State Government, in consultation with the Chief Justice of the High Court, shall designate, by notification published in the Official Gazette, one or more Civil Courts as Special Courts, within the local limits of the area to exercise jurisdiction and to try a suit under this Act in respect of contracts relating to infrastructure projects.”

This section provides the state government with the power to designate civil courts as special courts to deal with the matters of contract of infrastructure projects.

1. The court must be within the jurisdiction of the state government.
2. The Chief Justice of the High Court must be consulted.
3. A notification in the official gazette shall be produced by the respective state government.

Such courts can also be formed in UTs, and the powers granted to state government shall be extended to the respective lieutenant governors.

SECTION 20C. Expeditious disposal of suits.

“Notwithstanding anything contained in the Code of Civil Procedure, 1908 (5 of 1908), a suit filed under the provisions of this Act shall be disposed of by the court within a period of twelve months from the date of service of summons to the defendant:

Provided that the said period may be extended for a further period not exceeding six months in aggregate after recording reasons in writing for such extension by the court.”

The main objective behind this section is speedy disposal of cases, for instance if the Court has ordered for the specific performance of the contract the party would have already suffered the loss and thus it would not be of any benefit to the party due to the time taken in disposing of the matter. Thus, in order to benefit the party at loss this section has been added.

“Notwithstanding anything contained in the Code of Civil Procedure, 1908 (5 of 1908)” states that the suit must be disposed of by the court within a period of twelve months from the date of service of summons to the defendant. An extension of up to 6 months can be granted at the discretion of the court.

SECTION 21. Power to award compensation in certain cases.

- “(1) In a suit for specific performance of a contract, the plaintiff may also claim compensation for its breach in addition to such performance.*
- (2) If, in any such suit, the court decides that specific performance ought not to be granted, but that there is a contract between the parties which has been broken by the defendant, and that the plaintiff is entitled to compensation for that breach, it shall award him such compensation accordingly.*
- (3) If, in any such suit, the court decides that specific performance ought to be granted, but that it is not sufficient to satisfy the justice of the case, and that some compensation for breach of the contract should also be made to the plaintiff, it shall award him such compensation accordingly.*
- (4) In determining the amount of any compensation awarded under this section, the court shall be guided by the principles specified in section 73 of the Indian Contract Act, 1872 (9 of 1872).*
- (5) No compensation shall be awarded under this section unless the plaintiff has claimed such*

compensation in his plaint:

Provided that where the plaintiff has not claimed any such compensation in the plaint, the court shall, at any stage of the proceeding, allow him to amend the plaint on such terms as may be just, for including a claim for such compensation.

Explanation. —The circumstances that the contract has become incapable of specific performance does not preclude the court from exercising the jurisdiction conferred by this section.”

Section 21(1): This section elucidates that compensation can also be claimed in a suit for specific performance “*in addition to such performance.*” The section was amended in 2018 in which “*either in addition to, or in substitution of*” was replaced by “*in addition to*”. The Amendment Act materially alters the nature of the relief to be granted under the Specific Relief Act and, consequently, several defenses which were previously available to defendants are now unavailable. It is submitted that the removal of such defenses, which were previously available, should necessarily be understood as resulting in an alteration of the ‘*substantive*’ rights previously available.

Section 21(2): In case of a breach of contract where specific performance can’t be sought, a plaintiff can be entitled to compensation given such breach was caused by fault of the defendant.

Section 21(3): The Court may grant compensation along with specific performance if specific performance alone can’t provide justice. This subsection grants the court discretionary power to determine the quantum of damage in order to grant apt relief.

Section 21(4): Compensation under this section will be assessed on the same principles as are followed under section 73 of the Contract Act, which says that when a contract has been broken, the party who suffers by such breach is entitled to receive, from the party who has broken the contract, compensation for any loss or damage caused to him

The Privy Council's interpretation in the *Ardeshir H Mama v. Flora Sassoon*³² case had a major effect on how Section 21(4) of the Specific Relief Act, 1963 was applied. When the defendant breaches the contract, the plaintiff may be entitled to reimbursement for costs expended in furtherance of the agreement under Section 21(4). The Privy Council decided that the extent of expenses claimable under Section 21(4) should be determined by applying the criteria about remoteness of damages established in the English case of *Hadley v. Baxendale*³³. This meant that the only costs that could be claimed as compensation were those that both parties had reasonably anticipated at the time the contract was signed. Expenses that were too remote or not within the contemplation of the parties would not be compensable under Section 21(4). This ruling effectively limited the scope of compensation claimable under Section 21(4) and provided clarity on the application of the remoteness test in such cases.

Section 21(5): A specific claim in the plaint is necessary to grant the compensation. Nonetheless, court has the power to allow the plaint to be altered to include the claim of such compensation. No bar of limitation act.

The court has held that the parties' means, or financial capacity should not be taken into account while determining compensation under Section 21 for breach of contract. The aggrieved party's genuine loss because of the breach should be the only factor considered for compensation, regardless of the parties' respective financial situations. Whether the parties are affluent or not, this court reaffirmed the idea that compensation under Section 21 should be objectively determined based on the damage caused by the breach. It forbade judges from determining the amount of compensation due under Section 21(5) by considering the parties' financial situation.

³² *Ardeshir H Mama v. Flora Sassoon*, (1928)30BOMLR1242.

³³ *Hadley v. Baxendale*, (1843-60) All ER Rep. 461.

SECTION 22. Power to grant relief for possession, partition, refund of earnest money, etc.

- “(1) *Notwithstanding anything to the contrary contained in the Code of Civil Procedure, 1908 (5 of 1908), any person suing for the specific performance of a contract for the transfer of immovable property may, in an appropriate case, ask for—*
- (a) *possession, or partition and separate possession, of the property, in addition to such performance; or (b) any other relief to which he may be entitled, including the refund of any earnest money or deposit paid or made by him, in case his claim for specific performance is refused.*
 - (2) *No relief under clause (a) or clause (b) of sub-section (1) shall be granted by the court unless it has been specifically claimed:*

Provident that where the plaintiff has not claimed any such relief in the plaint, the court shall, at any stage of the proceeding, allow him to amend the plaint on such terms as may be just for including a claim for such relief.
 - (3) *The power of the court to grant relief under clause (b) of sub-section (1) shall be without prejudice to its powers to award compensation under section 21.”*

The section talks about “to the contrary”, An amendment of plaint was sought for including prayer for return of advance money with interest. The court said that the amendment was covered by Section 22(2) and not Order 6, Rule 17, CPC. The plaintiff was entitled to amend his pleadings at any stage of the proceedings.

The sub-section (1) of Section 22 of the Specific Relief Act, 1963 is an enabling provision that allows a plaintiff in a suit for specific performance to seek additional reliefs mentioned in clauses (a) and (b). Clause (a) permits the plaintiff to claim reliefs of possession, partition, and separate possession of the property, in addition to specific performance. However, sub-section (2) of Section 22 mandates that the court shall not grant any relief under clauses (a) and (b) of sub-section (1) unless it has been specifically claimed by the plaintiff in the suit.

The case of *Madamsetty Satyanarayana Vs. G. Yellogi Rao*, laid down the grounds to reject an application for specific performance. Despite some delay as against the Limitation Act, the court granted specific performance holding mere delay as insufficient to empower the court to refuse, in its discretion, specific performance, proof of abandonment or waiver is also insufficient to disentitle a plaintiff of a relief under section 22 of the Act.³⁴

SECTION 23. Liquidation of damages not a bar to specific performance.

- “(1) *A contract, otherwise proper to be specifically enforced, may be so enforced, though a sum be named in it as the amount to be paid in case of its breach and the party in default is willing to pay the same, if the court, having regard to the terms of the contract and other attending circumstances, is satisfied that the sum was named only for the purpose of securing performance of the contract and not for the purpose of giving to the party in default an option of paying money in lieu of specific performance.*

³⁴ *Madamsetty Satyanarayana Vs. G. Yellogi Rao*, 11965 AIR 1405.

- (2) *When enforcing specific performance under this section, the court shall not also decree payment of the sum so named in the contract.”*

Section 23 addresses the issue of whether a contract can be specifically enforced when a sum is named as damages in case of breach. It clarifies that naming a sum in the contract does not bar specific performance if the court is satisfied that the sum was named to secure performance and not to give the defaulting party an option to pay money instead.

Section 23(1): According to section 20 of the repealed act, a contract which can be specifically, may be enforced even if there exists an express provision of liquidated sum in case of breach. But this section states clearly that it provides specific performance of above-mentioned circumstance if it is proved that the compensation was fixed in order to secure performance and not “*in lieu of such performance*”. If the agreement only contains a provision for damages and not specific performance, no such performance can be specifically enforced.

Section 23(2): Specific performance and the amount of penalty can’t be granted together.

ORDER XXIV Rule 1- The defendant in any suit to recover a debt or damages may, at any stage of the suit, deposit in Court such sum of money as he considers a satisfaction in full of the claim.

It has been established that the mere presence of a named sum for damages does not prevent specific performance, especially if the contract does not provide an option for the defaulting party to pay money instead of performing the contract³⁵. The court has also held that a stipulated payment in case of breach is evidence, neither conclusive nor decisive, and the court should consider it while deciding whether to grant specific performance³⁶. The principle of this section applies to injunction as well³⁷.

The court has also settled on that fact that Section 23 says that naming a liquidated damages amount is not sufficient to non-suit a party seeking specific performance, unless it is evident that the amount was truly meant as an alternative option instead of securing performance.³⁸

In the case of *His Holiness Acharya Swami Ganesh Dassji v. Sita Ram Thapar*³⁹, the court drew a distinction between the terms “readiness” and “willingness” as used under this section. While readiness reflect the capacity of the plaintiff to perform the contractual obligations, willingness is reflected by the conduct of the party. However, it is to be determined on a case to case basis as there is no straightjacket formula to determine the same.⁴⁰ Continuous readiness and willingness is a condition precedent to grant specific performance.⁴¹

SECTION 24. Bar of suit for compensation for breach after dismissal of suit for specific performance.

“The dismissal of a suit for specific performance of a contract or part thereof shall bar the plaintiff’s right to sue for compensation for the breach of such contract or part, as the case may

³⁵ *M.L. Devender Singh vs. Syed Khaja*, 1973 2 SCC 515.

³⁶ *Ibid.*

³⁷ *Madran railway. Co. v Rust*, (1891)ILR 14MAD18.

³⁸ *Kamal Kant Jain vs. Surinder Singh*, (2019) 11 SCC 432.

³⁹ *His Holiness Acharya Swami Ganesh Dassji v. Sita Ram Thapar*, (1996) 4 SCC 526.

⁴⁰ *Shenbagam v. K.K. Rathinavel*, 2022 SCC OnLine SC 71; *Ravi Setia v. Madan Lal*, (2019) 9 SCC 381.

⁴¹ *C.S. Venkatesh v. A.S.C. Murthy*, (2020) 3 SCC 280.

be, but shall not bar his right to sue for any other relief to which he may be entitled, by reason of such breach."

The objective of this section is to avoid multiplicity of suits. It bars a suit for compensation after the suit for specific performance has been dismissed. No bar his right to sue for any other relief to which he may be entitled, by reason of such breach.

Plaintiff's right to file a suit for refund of earnest money or security is not barred under the section⁴².

SECTION 25. Application of preceding sections to certain awards and testamentary directions to execute settlements.

"The provisions of this Chapter as to contracts shall apply to awards to which the Arbitration and Conciliation Act, 1996 (26 of 1996), does not apply and to directions in a will or codicil to execute a particular settlement."

In terms of section 14(2) of Specific Relief Act, no suit to enforce a contract to refer to arbitration present or future differences is maintainable; and under section 32 of the Arbitration Act, 1940 as amended by section 43 of Specific Relief Act (since repealed), an arbitration agreement or an award cannot be enforced except as provided in that Act.

Execution of decree of specific performance:

A decree of specific performance is a decree in favor of both the plaintiff and the defendant. It is not executed as a money decree, but in the manner prescribed in O XXI, rule 32 of the Code of Civil Procedure, 1908.

Conclusion

The Specific Relief Act, 1963, specifically Sections 9 to 25, provides detailed provisions regarding the specific performance of contracts. These sections outline the circumstances under which specific performance can be granted, the types of contracts enforceable, and the limitations surrounding this remedy. , while the Specific Relief Act lays down general principles and provisions for specific performance, other commercial laws might have specific clauses or provisions tailored to different sectors or types of contracts within the commercial domain. These laws collectively govern the enforcement and limitations of specific performance in various contractual contexts.

Sale of Goods Act, 1930 (SGA): Section 55: This section of the SGA deals with the buyer's right of specific performance. It allows the buyer to compel the seller to perform their part of the contract, specifically in cases involving the sale of goods.

Consumer Protection Act, 2019 (CPA): Section 34: Under this section, the consumer has the right to seek specific performance, amongst other reliefs, for any unfair or restrictive trade practices by the seller or service provider.

Companies Act, 2013: Section 14: This section deals with the enforceability of contracts by or against a company. It doesn't specifically address specific performance, but it outlines the capacity of a company to contract and the enforceability of those contracts.

⁴² *Abdul Rahman v. Rahim Baksh*, AIR1951ALL845.

Partnership Act, 1932: Section 39: This section allows for specific performance in certain partnership agreements. If a partner breaches a contract related to the conduct of the partnership, the other partners may seek specific performance.

Arbitration and Conciliation Act, 1996: Section 34: While not directly addressing specific performance, this section deals with the grounds for challenging an arbitral award, which could include seeking or denying specific performance.

Transfer of Property Act, 1882 (TPA): Section 57: This section allows for specific performance of contracts related to the transfer of immovable property, providing additional nuances and requirements compared to the provisions in the Specific Relief Act.

These laws, while not entirely dedicated to specific performance, contain provisions that touch upon the enforcement of contracts, rights, and remedies in commercial transactions across various sectors. They often address specific scenarios or industries, providing a framework for seeking specific performance or related remedies in those particular contexts.



Chapter-3

Rectification of Instruments

✦ *Sanchi Khajuria*

INTRODUCTION

Consensus ad idem means meeting of mind is one of the fundamental requirement so that a contract can be legally binding on the parties. Any agreement done between the parties if not done mutually, a contract will not come into existence. Moreover, there exists an agreement between the party but it is not accurately reflected or there has been certain kind of mistake in one of the clauses of the agreement. This contract shall be deemed invalid and unenforceable. There are various cases in which such mistake can take place and when acknowledged by both the parties, efforts can be made by them to rectify the error which is taken place. Additionally there are various scenarios where the mistake is the integral part of the contract which makes, impossible for the parties to rectify it, in such an instance the whole contracts become invalid in nature. In order to address such situations and mistakes the concept of rectification of instruments was introduced. The specific relief act caters with the circumstances under which an instrument which can be a contract be rectified and when it cannot be rectified.

Rectification of an instrument is a legal process aimed at making corrections to a written document or contract. This corrective action is essential to prevent instances of fraud or mutual mistakes that may have occurred during the drafting or recording of the document. In the case of *Rajaram Vs. Manik*, “the suit can be filed for rectification on grounds of fraud or mutual mistake at whatever time they may be discovered.”¹ Section 26 of the Specific Relief Act, 1963, addresses the concept of rectification.² However, it's important to note that the decision to grant rectification lies within the discretion of the court. In the case of *Assistant Commercial Taxes Officer v. Makkad Plastic Agencies*, SC observed that “the meaning of 'rectification' under the ‘Sales Tax Act’ would include 'removal of defects or imperfections'.”³

Rectification can only be sought on two specific grounds: fraud and mutual mistake of the parties involved. In *Natarajan Asari Vs Pichamuthu Asari*, it was held “a suit for rectification can be claimed for a sale deed on grounds of mutual mistake concerning the description or cost of the property.”⁴

Furthermore, it is exclusively the parties to the contract or their legal representatives who can initiate legal proceedings to request rectification the same was held in *Joseph John Peter Sandy v. Veronica Thomas Rajkumar*.⁵ It was held in the *Trend text Trading Corporation Vs Credit Suisse* that “the relief can be availed by or against the representative of the party to a written document too.”⁶

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¹ *Rajaram Vs. Manik*, AIR 1952 Nag. 90.

² Specific Relief Act, 1963, § 26, Acts of Parliament, 1963 (India).

³ *Assistant Commercial Taxes Officer v. Makkad Plastic Agencies*, 2011 4 SCC 750.

⁴ *Natarajan Asari Vs Pichamuthu Asari* AIR 1972 Mad 192.

⁵ *Joseph John Peter Sandy Vs Veronica Thomas Rajkumar*, 2013 AIR SCW 2604.

⁶ *Trend text Trading Corporation Vs Credit Suisse* [1982] AC 679.

When a written contract fails to accurately convey the true intentions or specific agreements made by the parties, the court has the authority to order rectification. The court can direct modifications to the contract, effectively restoring the parties to the position they would have been in if the error had not occurred.

Moreover, it must be established that there was a mutual understanding and agreement between the parties regarding the contract, but this understanding was inaccurately reflected when the contract was reduced to writing. Rectification, therefore, serves as a mechanism to align the written document with the true intentions of the parties, ensuring that their original agreement is accurately represented.

Section 26 of the Specific Relief Act, 1963 Section 26 of the Specific Relief Act deals with rectification.⁷ It reads as follows: “When instrument may be rectified.—

- (1) When, through fraud or a mutual mistake of the parties, a contract or other instrument in writing [not being the articles of association of a company to which the Companies Act, 1956⁸ (1 of 1956) applies] does not express their real intention, then— (a) either party or his representative in interest may institute a suit to have the instrument rectified; or*
- (b) the plaintiff may, in any suit in which any right arising under the instrument is in issue, claim in his pleading that the instrument be rectified; or*
- (c) a defendant in any such suit as is referred to in clause (b), may, in addition to any other defence open to him, ask for rectification of the instrument.*
- (2) If in any suit in which a contract or other instrument is sought to be rectified under sub-section (1), the court finds that the instrument, through fraud or mistake, does not express the real intention of the parties, the court may, in its discretion, direct rectification of the instrument to express that intention, so far as this can be done without prejudice to rights acquired by third persons in good faith and for value.*
- (3) A contract in writing may first be rectified, and then if the party claiming rectification has so prayed in his pleading and the court thinks fit, may be specifically enforced.*
- (4) No relief for the rectification of an instrument shall be granted to any party under this section unless it has been specifically claimed: Provided that where a party has not claimed any such relief in his pleading, the court shall, at any stage of the proceeding, allow him to amend the pleading on such terms as may be just for including such claim.”*

There are certain conditions when the rectification can be done to a contract:

- A) If there is fraud or mutual mistake between the parties involved, only the parties themselves or their appointed representatives have the right to file a suit for rectification of the instrument. No other person besides the parties or their representatives can initiate such a suit. The plaintiff can file a suit seeking rectification if any of their rights arising from the instrument are under threat. Additionally, the defendant also has the option to request rectification under sub-clause (b) of the same section.*
- B) If application under clause (1) is made and court finds fraud or mutual mistake later, discretion to rectify or not rectify rests with court. Court not bound to rectify merely because claimed under clause (1). Court examines if instrument failed to capture real*

⁷ *Supra* Note 2.

⁸ Companies Act, 1956, Acts of Parliament, 1956 (India).

intention due to fraud or parties' mutual error. Only upon satisfaction, court exercises judicious discretion directing rectification expressing true intention, provided no prejudice to third-party rights acquired in good faith.

- C) *If rectification claim made, granting and enforcing rests on court's discretion.*
- D) *No rectification relief granted unless parties specifically claim instrument rectification.*

Supreme Court in the case of Puran Ram vs. Bhaguram & Anr. dealt with the issue of rectification of instruments under Section 26 of the Specific Relief Act, 1963, in a suit for specific performance of a contract for sale of land. The case involved a mutual mistake in the description of the suit property in the agreement for sale and the plaint. The Court held that Section 26 allows either party to institute a suit to rectify an instrument or claim rectification in an existing suit where rights under the instrument are in issue, if the instrument does not express the real intention due to mutual mistake. The proviso to Section 26(4) permits a party to amend the pleadings at any stage to include a claim for rectification, even if not initially claimed.

In this case, the Court ruled that the plaintiff could seek amendment of the agreement for sale and the plaint to correct the part of the description of the suit property, as it was a mutual mistake. Allowing such amendment would not change the nature of the suit from one for specific performance to a suit for declaration. The Court emphasized that a separate suit for rectification was not necessary when the relief could be claimed through an amendment under Section 26. The High Court erred in reversing the trial court's order allowing the amendment, as the trial court's discretion was rightly exercised. the Supreme Court concluded upholding the principle of allowing rectification of instruments through amendment of pleadings in an existing suit under Section 26 of the Specific Relief Act.⁹

Prerequisites for Section 26:

For Section 26 to be invoked, the presence of fraud or mutual mistakes is crucial. The burden of proof lies on the party who is seeking rectification of the instrument. In the legal matter of Joseph Johan Peter Sandy versus Veronica Thomas Rajkumar and another, the offspring of Mr. B.P. Sandy acted as the appellants. Mr. Sandy conveyed ownership of two houses to his children but mistakenly transferred them in reverse. The house intended for his son was mistakenly transferred to the daughter, and vice versa. The appellants sought rectification of the transfer deed, contending that it was necessary to correct the error. However, the court determined that rectification could only be granted in instances involving fraud or mutual mistake, neither of which applied in this case.¹⁰

The Madras High Court provided clarifications on the scope of rectification deeds and their implications in the context of a dispute involving Vodafone Idea Limited. The court held that a rectification deed can be used not only to correct mistakes or inadvertent errors but also to clarify or remove imperfections in the original document.

The court examined the sale deed, rectification deed, income tax filings, and other documents to determine the intention of the parties. The court emphasized that the rectification deed, along with other supporting documents, can be used to ascertain the true intention of the parties and rectify any imperfections or clarify ambiguities in the original instrument. Consequently, the court set aside the demand for additional stamp duty on the plant and machinery.¹¹

⁹ Puran Ram vs. Bhaguram & Anr., AIR 2008 SC 1960.

¹⁰ Joseph Johan Peter Sandy v. Veronica Thomas Rajkumar and Anr., AIR 2013 SC 2028.

¹¹ Vodafone Idea Limited & Anr. Vs. The Inspector General of Registration and Ors., 2022 LiveLaw (Mad) 43.

MODES OF RECTIFICATION:***Fraud:***

Fraud involves actions aimed for misleading a person. It occurs when there are false statements, deliberate concealment of facts, or the failure to fulfil a promise made with the intent to deceive. Rectification is warranted when someone intentionally misrepresents facts with the aim of deceiving others.

Mutual Mistake of Parties:

In cases where both parties to a contract make a mistake, the person seeking rectification must prove that the contract was formed based on the mutual agreement of the parties, even though the written document fails to reflect their true intentions. It is necessary to establish that the mistake occurred on the part of both parties, and if the mistake solely stems from the written document, rectification is not applicable. A unilateral contract that does not involve fraud is not subject to rectification. In the legal matter of Sartaj versus Ayub Khan, the appellant initiated a lawsuit, contending that the purchaser who bought land from him and registered the sale deed was exploiting an error in the deed to gain undue advantage. The court determined the appeal to be legitimate and overturned the decree issued by the trial court.¹²

In Makhan Lal Jalan vs. The state of Jharkhand, the court emphasized the importance of rectifying instruments under Section 26 of the Specific Relief Act, 1963, if they do not reflect the true intention of the parties due to mutual mistake. In this case, there was a discrepancy in the plot numbers mentioned in the registered settlement deed, sale deeds, and court records. The court held that revenue authorities lack the power to correct records without rectifying the parent instruments. The court directed the petitioner to approach the civil court under Section 26 to rectify the instruments. Once a decree is obtained, the petitioner can approach the authorities to reflect the corrections in the revenue records based on the rectified instruments. The court emphasized following the correct procedure of rectifying the instruments first before correcting revenue records.¹³

Intention of Parties:

To determine the genuine intentions of the parties is pivotal in rectification. The court plays a crucial role in deciphering the actual intentions of the parties while entering into the contract. The objective of Section 26 is to ensure that technical defects do not take precedence over the parties' actual intentions. In the case of Shamim Ahmed Siddique versus Society Ltd. And others (2008), the court ruled that for rectification under Section 31¹⁴, proof of mutual mistake must be established, along with the demonstration that the instrument does not accurately reflect the true intentions of the parties. Additionally, evidence of error in drafting the instrument is required to determine the parties' intentions. If the court is convinced that there exists a mutual mistake regarding the true intentions of the parties, it has the authority to rectify the instrument..¹⁵

CONCLUSION

Section 26 of the Specific Relief Act, allows those instruments to be rectified where the real intention of the parties in making that instrument is not reflected due to fraud or by a mutual

¹² Sartaj Vs Ayub Khan (2019) 137 ALR 611.

¹³ Makhan Lal Jalan vs. The State of Jharkhand, 2024 LiveLaw (Jha) 75.

¹⁴ Specific Relief Act, 1963, § 31, Acts of Parliament, 1963 (India).

¹⁵ Shamim Ahmed Siddique Vs Society Ltd. And Ors., (2008) 214 CTR (BOM) 100.

mistake of the parties. If in any suit the court finds that a instrument does not express the real intention of the parties, it has the discretion to direct the rectification of that instrument.

What this section essentially does is that it allows parties to a contract or any other instrument to make corrections to it so that the instrument is a correct reflection of the intentions of the parties to that contract or instrument. This brings the legal liabilities and rights arising out of the contract in line with the liabilities and rights as intended by the parties when signing these instruments and the parties do not have bear with any unintended consequences.

This section gains significance in this aspect as these instruments create, limit, or extend rights and liabilities that have arisen as a consequence of the subject matter of the contract. This, when viewed in the context of deals between big companies involving a large amount of capital and other resources, becomes important as small errors in these contracts can take that deal in completely opposite directions for the companies. Additionally, accuracy of these documents is also essential with the perspective of protection of the rights of other third parties and stakeholders in that instrument. Also, accuracy in these documents allows certainty and clarity in business transactions and reduces the scope for ambiguity which is an important reason for potential litigations.

This precision in instruments or contracts becomes all the more important when it comes to bank or loan related documents as any incorrectness or ambiguity can create loopholes which can be exploited by the bank or the debtor, thus causing unwarranted profit or loss to either of the parties.

For contracts related to securities law, precisely following the compliances and no scope for error is essential as minor mistakes can cause unnecessary profit or loss to the company or the shareholders.

A detailed and accurate description of the terms of the contract and a consensus ad idem on the contract as a whole is important in intellectual property rights related questions as errors here can undermine the years of hard work and efforts put in by researchers and specialists in those areas.



Chapter-4

Rescission of Contract

✦ **Nandeeka Sood**

*Rescission means when a contract is abrogated such as it never existed and the parties are restored to the state they were in before the contract had been formed, that is to get the *status quo ante*. In simpler terms, it refers to the explicit cancellation or withdrawal of a contract. *Rescindere*, a Latin verb that means to cut or tear open, is the root of the English word "rescission." It is an unwinding of a transaction or undoing of a contract.¹² When a contract is breached or the parties fail to adhere to its terms, the contract still remains valid until formally rescinded. The aggrieved party reserves the right to claim damages for any losses incurred and their action depends on their intention for a business relationship. A contract can be rescinded in two ways, that is either it can be rescinded unilaterally or mutually. The process of recession lies with the party that seeks to rescind the contract and not the court. The right to rescind a contract can also be asserted as a defence against an action. However, before rescinding a contract, the non-performing party must be given a sufficient and reasonable period of time to fulfil their obligations and allow them to set a period with the approval of the aggrieved party.³ An example of such involves a buyer discovering that a developer misrepresented property details, e.g., amenities or size. The buyer can seek rescission, file a suit, and if the court agrees, the contract is cancelled, and the buyer is refunded. Additionally, the developer may owe damages for any incurred losses.*

A contract may be revoked under the Specific Relief Act if there is strong evidence of a serious violation or if the contract is voidable as a result of intimidation, undue influence, fraud, omission, or error. Courts have the authority to grant rescission and may also impose damages in conjunction with it. It is essential to provide the other party written notice of your intent to rescind. The notice seeks restoration and specifies the grounds and effective date of termination. For the rescission to be legally enforceable, notice must be properly served, usually by email, registered mail, or another method specified in the contract.

The ways to rescind contracts unilaterally are laid down in the Indian Contract Act, 1872 while the options for a contract to be rescinded by a court order are dealt with in the Specific Relief Act, 1963 (hereinafter referred as the Act). Section 27 of the Act lays down the grounds based on which a court may adjudge or refuse to hear an appeal for rescinding a contract. After that, section 28 deals with the rescission of contracts where a specific performance is not performed which was decreed by the court for the lease or sale of an immovable property. Further, section 29 deals with situations where a person filing for a suit of specific performance, may in writing alternatively pray for rescission of the court if the court rules that the contract cannot be specifically enforced. While section 30 state this, the court may require the parties to do equity

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¹ What is rescission of a contract?, JB SOLICITORS, (Sept. 2, 2019), <https://jbsolicitors.com.au/what-is-a-rescission-of-a-contract/>.

² Amitha Suresh, *Effects of Rescinding a Contract*, IPLEADERS, (Nov. 6, 2021), <https://blog.ipleaders.in/all-you-need-to-know-about-the-effects-of-rescinding-a-contract/?noamp=mobile>.

³ *Breach of Contract: Rescind or Perform?*, TILLEKE & GIBBINS, (Feb. 21, 2014), <https://www.tilleke.com/insights/breach-contract-rescind-or-perform/>.

such that none of the parties are in a condition of bearing any losses due to the rescinded contract.

But is the rescission of contracts limited only to these 4 sections? Not really. The interpretation of any law goes way beyond the mere words in which it is bound and written in the text of the bare act. The jurisprudence of these sections is derived and developed over the years through various judgments.

For a court to grant rescission, it is first important to deal with the rectification of instruments under Section 26. As per this section, for an instrument to be rectified, there may be –

- a. *Mutual mistake or fraud,*
- b. *Instrument does not express the true intention of the parties and,*
- c. *Mistake is not unilateral*

There cannot be rectification on the basis of a unilateral mistake not amounting to fraud. Under this section, it is imperative to understand 'rectification' as the correction of an error in an instrument with an aim to uphold the true and original intent of the parties.

*To understand when the court may admit or refuse an appeal for the rescission of a contract, we deal with **section 27** of the Specific Relief Act, 1963. Section 27 lays down the grounds as to when shall a court may adjudge or refuse an appeal for rescission of contract. Section 1(a) and (b) explain that the court may adjudge rescission where the defendant bears a larger portion of the blame than the plaintiff and the agreement is unlawful for fewer apparent reasons, or when the plaintiff has the option to void or cancel the agreement. Additionally, the conditions under which the court may decline to void the agreement are covered in sub-section 2. Subsection 2 states that the court may decline to rescind the contract, notwithstanding everything in sub-section (1) -*

- a. *where the plaintiff has acknowledged the terms of the agreement in writing or implicitly;*
- b. *where the parties cannot be substantially put back in the same situation as when the agreement was made because of changes in circumstances that have occurred since the agreement's creation (and which are not attributable to the defendant's actions);*
- c. *where third parties have lawfully obtained rights during the agreement's duration, without consent, and for a fair price;*
- d. *when the agreement is only being revoked in part and that part cannot be detached from the rest of the agreement.*

But while we are discussing when a court may adjudge or refuse an appeal for rescission of the contract, it is equally imperative for us to understand who may appeal the court for rescission. The principle of privity of contract provides that only a party to the contract can enforce the contract. Thus, according to this principle, only parties to contract may appeal for relief of rescission. However, section 27 provides an exception to this principle. According to section 27, any person who has some interest in the contract, may enforce or appeal to rescind the contract. However, in order for the court to allow rescission, the contract must be unlawful, voidable, or terminable by the plaintiff. The relief of rescission relies upon a voidable contract and hence, relief can be sought till the contract is in such state.⁴

*In its landmark judgement in **Global Music Junction Private Limited v. Shatrughan Kumar AKA Khesari Lal Yadav and Ors.**,⁵ the Delhi High Court held that the specific performance of*

⁴ *Rectification, Rescission and Cancellation*, DRISHTI JUDICIARY, (Oct. 18, 2023), <https://www.drishtijudiciary.com/to-the-point/http-specific-relief-act/rectification-rescission-and-cancellation>.

⁵ *Global Music Junction Private Limited v. Shatrughan Kumar AKA Khesari Lal Yadav and Ors*, 2023 SCC OnLine Del 5479.

contracts is now a general rule and not an exception under the Specific Relief (Amendment) Act, 2018. The court emphasized that this amendment transformed the equitable and discretionary remedy of specific performance to a statutory one. Additionally, it was emphasized that adverse obligations, especially those pertaining to personal services, can be enforceable in contracts without requiring specific performance as long as they stay within the parameters of the contract and do not violate Section 27 of the Indian Contract Act, 1872.

The stipulations under which the court may not rescind the contract are provided in the clause (2) of Section 27. In the case of *Long vs Lloyd (1958 WLR)*,⁶ the plaintiff was denied any relief by the court and the contract was not rescinded. The court observed that in a contract where the consent of one of the parties is obtained by coercion, undue influence, misrepresentation or fraud, and the party gets the opportunity to either affirm or rescind the contract, and the party affirms the contract, then they do not have the right to seek rescission.

NOTE- *Restitutio In Integrum* is not possible- this means if the parties cannot be substantially restored to their conditions prior to the contract, then the contract will not be rescinded by the court. In such cases, compensation can be claimed and not rescission of the contract. This is for section 27(2)(b).

The court is given the authority to revoke the decree of particular execution of an immovable property sale or lease contract under **Section 28**. If the buyer fails to pay the agreed-upon sum within the stipulated timeframe after the court issues a judgment for particular performance, the seller may request that the court invalidate the contract in part or in its entirety, based on the principles of justice and fairness.

In *Bhupinder Kumar v. Angrej Singh (2009)*,⁷ the Supreme Court reviewed Section 28 of the Act, which permits cancellation of an immovable property contract of sale in the event that the buyer defaults on payment within the allotted time frame. Here, the respondent's lack of cooperation caused the petitioner to delay his performance even though he had already arranged a selling agreement and was prepared to fulfil his end of the bargain. The trial court ruled in favour of the appellant and ordered Angrej Singh to execute the sale deed and allowed him three months to comply. After, the respondent failed to comply and the appellant moved for an extension of time to deposit balance amount. Considering the circumstances, the court held that the sale agreement stood rescinded as permitted under section 28.

The plaintiff in the *Hungerford Investment Trust v. Haridas case*,⁸ Hungerford Investment Trust Limited, held all of the shares of Company "A." Haridas Mundhra, the respondent, and the appellant came to an arrangement wherein the respondent was given the opportunity to purchase 49% of the shares. The remaining 51 percent of the shares were to be transferred upon payment, as per the court's particular performance decision. But thereafter, the court revoked the decree because of the respondent's violation. The plaintiff in the *Hungerford Investment Trust v. Haridas case*, Hungerford Investment Trust Limited, held all of the shares of Company "A." Haridas Mundhra, the respondent, and the appellant came to an arrangement wherein the respondent was given the opportunity to purchase 49% of the shares. The remaining 51 percent of the shares were to be transferred upon payment, as per the court's particular performance decision. But thereafter, the court revoked the decree because of the respondent's violation.

⁶ Long v. Lloyd, [1958] WLR.

⁷ Bhupinder Kumar v. Angrej Singh, (2009) 8 SCC 766.

⁸ Hungerford Investment Trust Limited Vs Haridas Mundhra, 1972 SCC (3) 684.

In the case of *Narayan Gangadhar Deshpande and Ors v Rango Krishna Dixit* [1959 SCC Kar 132],⁹ the Court held that this clause effectively gives the court that issued the decree for specific performance the authority to rescind the agreement and set aside the previous decree it had issued in the event that the successful plaintiff disregarded the terms of the decree by failing to pay the court-mandated purchase money or other amounts. Thus, a suit once decreed, may be dismissed if the Court thinks it fit to do so.

The court stated in *L Venkata Krishna Reddy and Ors v. M. Anjappa and Ors* [AIR 2009 AP 179],¹⁰ that in the event that the buyer or lessee does not pay the purchase money and other amounts required to be paid, the vendor or lessor must file for rescission. The seller-judgment-debtor is not entitled to rescind simply because the buyer did not prolong the deadline for submitting the remaining amount.

In the case of *Ramankutty Guptan v Avara*, [(1994) 2 SCC 642],¹¹ the application for rescission must be filed in the same court as the suit itself. Another question of merger of decrees was raised in this case. The court said that conventionally whenever a judgment or decree of the first court is taken in appeal and decision is rendered by the appellate court, there is a merger of the decree passed by the lower court in the appellate court decree. But in this case the court believed that the doctrine of merger is not one of universal application. It only does so for specific reasons, such as calculating the statute of limitations for the decree's execution or for calculating the statute of limitations for a final decree application in a mortgage lawsuit, among other things.

According to **Section 29**, a party bringing a lawsuit for the particular performance of a written contract may also ask that the contract be canceled and submitted for cancellation if it is not possible to execute the terms of the agreement explicitly. The contract may be revoked and handed up in compliance with the court's order if it decides not to explicitly enforce it.

The Supreme Court in the case of *Deccan Paper Mills Company Limited vs Regence Mahavir Properties and Others*, [(2021) 4 SCC 786],¹² observed the correlation between the section 29 and 31(1) of the Act. The court observed that “reading of Section 31(1) then shows that when a written instrument is adjudged void or voidable, the court may then order it to be delivered up to the plaintiff and canceled in exactly the same way as a suit for rescission of a contract under Section 29 of the Specific Relief Act, 1963”.

Accordingly, even though specific performance is demanded in the lawsuit, the plaintiff forfeits his right to the alternative remedy of specific performance once he files a lawsuit for the return of earnest money/advance or the award of damages, according to the court's observation in the *Prem Raj v. D.I.F.H. & C. Ltd. case* [AIR 1968 SC 1355].¹³ If that's the case, he cannot later amend his complaint to ask for specific performance as an alternative contractual remedy, as the main relief he's asking for is the return of his advance initial payment. This is mostly about the rule that states that once a contract is repudiated, there is no other remedy available except for specific performance, and that a claim for the return of earnest money/advance and/or damages may be based on the repudiation of a contract for any reason.¹⁴ Additionally, in the case of *Roop*

⁹ Narayan Gangadhar Deshpande And Ors. v. Rango Krishna Dixit, [1959] AIR 1960 Kant. 175.

¹⁰ L. Venkata Krishna Reddy and Ors. v. M. Anjappa and Ors., AIR 2009 AP 179.

¹¹ Ramankutty Guptan v. Avara, [1994] 1 SCC 689 (India).

¹² Deccan Paper Mills Co. Ltd. v. Regency Mahavir Properties, [2020] 10 SCC 740 (India).

¹³ Prem Raj v. D.L.F. Housing & Construction Pvt. Ltd., [1968] 3 SCR 855 (India).

¹⁴ Dr.H Amara Rangeswara Rao, *Alternative Remedies For Specific Performance Of Contracts*, ECOURTS, [https:// districts.ecourts.gov.in/](https://districts.ecourts.gov.in/)

Chanda Chaudhary vs Smt. Ranjit Kumari [1990 SCC P&H 263],¹⁵ the court added another caveat to the observation made in the above judgment of *Prem Raj* observing that such a relief would not be available even if sought by an amendment to the original plea. The pleadings made before the court can be amended under Order VI Rule 17 of the Civil Procedure Code. This means that the parties may modify their pleadings at any point throughout the proceedings. Order 39 addresses interlocutory orders and interim injunctions that may be issued when a specific piece of property is in risk of being squandered or harmed. Recession is a method that the person that is being wronged typically uses in such situations.

Section 30 of the Act establishes the equity principle i.e., one who seeks equity must do equity.' According to this, the person receiving such relief may be ordered by the court to make any necessary restitution to him as well as to restore, to the greatest degree feasible, any benefits he may have received from the other party. In simpler terms, the court can direct not only payment of compensation but also restoration of benefits, if any. In the case of *Sudarshan Paul vs Pradip Kumar Roy* [2016 SCC Gau 884],¹⁶ the court held that exercise made under section 28 of the Act includes the exercise made under section 30 of the Act. It is the duty of the court to see as to whether the decree holder is entitled to an order under section 30 while passing an order under section 28 of the Act. Furthermore, in light of Section 30 of the Act, the court in the case of *Vasudeo Harchand Kolhe and Anr. vs Bhaulal Nadarsingh Rajput and Anr.* [AIR 1994 Bom 124],¹⁷ determined that the party that gained an advantage from the contract must compensate the other party for any losses.

When a contract is void or voidable and can create unwanted situations or cause harm to a party, that party can seek its cancellation by asking judicial intervention. Section 31 of the Act allows for right to sue for cancellation by any person who apprehends the existence of the instrument that is void or voidable in nature. The court, at its own discretion has the power for any instrument to be declared as cancelled. In the event that the instrument has been registered in accordance with the Indian Registration Act of 1908, it is required of the court to provide a copy of its ruling to the appropriate authority. As bifurcated under Section 32, the cancellation of an instrument can be either complete or partial. If the court believes that the whole document is void or voidable and causes an injury to the party, it can decide to cancel the instrument completely. In other circumstances, the court can also choose to cancel specific parts of an instrument that may be void or voidable while the remaining remains enforceable and valid. The court has the power to ensure that benefits received under the instrument are granted and fair compensation is received when an instrument is cancelled under Section 33. This is to ensure that the party is made whole and the principle of equitable relief is upheld in the course of justice. In the case of *Sri Lakha Granites v. Eklavya Singh* (2011),¹⁸ the Rajasthan High Court ruled that the authority to declare an instrument null or void lies only with the court and no other administrative authority.

In actual cases and real circumstances, sometimes a party only wants a part of a contract to be cancelled instead of the whole deal. For example, in construction contracts, one might only want

sites/default/files/3%20Alternative%20Remedies%20for%20Specific%20Performance%20of%20Contracts%20by%20JCJ%20C%20Alamuru.pdf

¹⁵ Roop Chand Chaudhari v. Smt. Ranjit Kumari, [1991] 1 PLR 314 (India).

¹⁶ Sudarshan Paul vs Pradip Kumar Roy, [2016 SCC Gau 884].

¹⁷ Vasudeo Harchand Kolhe and Another v. Bhaulal Nadarsingh Rajput and Another, [1994] 1 Bom LR 221 (India).

¹⁸ Sri Lakha Granites v. Eklavya Singh, AIR 2011 Raj 49

to cancel a part of the agreement if there are delays or quality issues with specific projects. While looking at such requests, courts usually consider three aspects. Firstly, they like to determine if it's impossible to fulfil the agreed upon obligations. Secondly, they ascertain if it is possible to separate the contract in a way that the problem is removed and the rest can be dealt with on its own. Thirdly, the proportionality principle is considered. They apply this to check whether the cancelled part holds any special value and if the partial rescission would be unfair to any party and cause harm. This is to ensure that the intent of the contract is not cancelled arbitrarily and no imbalance is created between the rights and obligations of the parties.



Chapter-5

Cancellation of Instruments

✦ *Arjun Kapur*

Introduction

The concept of the cancellation of instruments within the framework of the Specific Relief Act represents a vital area of study for legal scholars, practitioners, and students alike. This research topic delves into the legislative provisions and judicial interpretations surrounding the cancellation of instruments, essentially written documents that confer rights, obligations, or testimonials of certain facts under specific legal circumstances.¹ Cancelling such instruments is a critical remedy available to parties subjected to fraud, misrepresentation, or undue influence, leading to the creation of documents that jeopardize their rights or interests.

At the heart of this research is exploring the legal grounds upon which an instrument can be cancelled, the procedural aspects involved in seeking such cancellation, and the implications for the parties involved and the legal system.² The study aims to dissect the conditions under which the law permits the nullification of these legal documents, thereby preventing potential harm or rectifying injustices that may have occurred due to their existence.³

Furthermore, this topic seeks to illuminate the intricacies of the Specific Relief Act, which is crucial in providing specific remedies to aggrieved parties, including but not limited to the cancellation of instruments.⁴ Through a detailed examination of statutory provisions, case law, and doctrinal analysis, this research provides a comprehensive understanding of the legal framework governing the cancellation of instruments, its practical application, and the challenges faced by the judiciary and litigants in navigating this complex legal terrain.⁵

The cancellation of instruments under the Specific Relief Act encompasses a fascinating intersection of law, rights, and remedies, offering rich insights into how the legal system addresses correcting wrongs through the annulment of problematic documents.⁶ This research topic not only contributes to the academic discourse on specific relief but also serves as a guide for legal practitioners and informs policy discussions on the evolution and refinement of legal remedies in the face of changing societal and economic contexts.⁷

The act of nullifying a written document that documents a transaction between two parties is the cancellation of instruments. The cancellation remedy is governed by protective and preventive justice since the defendant may utilise the document against the plaintiff detrimentally or irritatingly.⁸ The conditions under which a cancellation order may be issued are outlined in Section 31 of the Act. To be eligible for such relief, the plaintiff must demonstrate that he will

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¹ Yogendra Prasad Singh (Dead) through LRs v. Ram Bachan Devi & Ors. CIVIL APPEAL NO.10412 of 2013.

² *Id.*

³ Dahiben v. Arvindbhai Kalyanji Bhanusali 2020 SCC Online SC 562.

⁴ Kaliaperumal vs Rajagopal & Anr AIR 2009 SUPREME COURT 2122.

⁵ *Id.*

⁶ Rajendra Nautiyal v. Diwakar Jaguri and anr. Writ Petition (M/S) No. 3643 of 2018.

⁷ *Id.*

⁸ Agra Diocesan Trust Association v. Anil David and others, AIR 2020 SC 1372.

suffer a significant injury should the challenged instrument remain unchallenged. To establish such a claim, he needs to have a stake in the property that would be in jeopardy if the instrument were to stay in place.⁹

Specific Relief Act, 1963, Sections 31, 32, and 33 address document cancellation. A party may file a lawsuit to have an instrument void or voidable for any reason if they have good reason to think the instrument could be used against them and possibly result in serious injury. The rationale for this discretionary relief is explained in the article's subsequent sections.

32. When cancellation may be ordered:

1. *Anybody who believes that a written instrument they are against is void or voidable and who has a reasonable fear that if it is not delivered, it will seriously harm them may file a lawsuit to have the instrument declared void or voidable; the Court may decide to grant this motion and issue an order for its delivery and cancellation.*
2. *The Court must also send a copy of its decree to the officer whose office the instrument has been registered under the Indian Registration Act, 1908 (16 of 1908) if that is the case. That officer must then record the cancellation of the instrument on the copy of the instrument that is kept in his files.¹⁰*

33. Which instruments are eligible for partial cancellation?

In appropriate cases, the Court may partially cancel an instrument that represents a difference in rights or responsibilities while leaving the remainder intact. Authority to demand payment or restoration of benefits when an instrument is revoked or successfully challenged as null and void.

1. *Upon determining that an instrument should be revoked, the Court may order the party receiving the relief to reimburse the other party for any benefits they may have received from them to the extent that it is feasible and to provide them with any compensation that justice may demand.*
2. *In the event that a defendant defeats any basis suit successfully—*
 - a) *that the instrument that the other party is attempting to enforce against him in the lawsuit is voidable; if the defendant has benefited from anything as a result of the instrument, the Court may order him to reimburse that party or restore the advantage to the extent that it is possible; The Court may, if the defendant has received any benefit under the agreement from the other party, require him to restore, so far as may be, such benefit to that party to the extent that he or his estate has benefited thereby.*
 - b) *That the agreement sought to be enforced against him in the suit is void due to his not being competent to contract under section 11 of the Indian Contract Act, 1872 (9 of 1872).¹¹*

An instrument: what is it?

An “instrument” under the Specific Relief Act, as per general legal terminology and the context of various jurisdictions, including India, is a formal legal document that records a right, obligation, or transaction. It could encompass a wide array of documents such as contracts,

⁹ *Id.*

¹⁰ Specific. Relief Act, § 32 (1963).

¹¹ Specific. Relief Act, § 33 (1963).

agreements, deeds (like leases, mortgages, or conveyance deeds), wills, or any other document that legally binds one or more parties to specific terms or conditions or acts as evidence of some transaction or grant of rights.¹²

A document that creates, transfers, limits, extends or seeks to cancel any right or liability is an instrument under the Indian Stamp Act. Among other documents, the word "instrument" will encompass a decree, an award, a will, and a promissory note.¹³

In the context of the Specific Relief Act, particularly within the Indian legal framework (as the Specific Relief Act, 1963 is a piece of Indian legislation), the term "instrument" retains this broad meaning. The Act provides various kinds of specific reliefs, including enforcing individual rights and obligations as outlined in instruments and, in certain situations, cancelling these instruments.¹⁴

Cancellation of an instrument, under the Specific Relief Act, refers to the legal process through which a written document is declared void and its legal effects nullified, usually because it was created under fraudulent circumstances, contained misrepresentations, or was otherwise inequitable to enforce. This means that the document, once cancelled, is treated as if it never existed, thereby relieving the affected party from any obligations under it and restoring them to their position before the instrument's execution, as far as possible.¹⁵

The Act provides specific grounds and procedures for seeking such cancellation, aiming to protect parties from the unjust consequences that may arise from instruments that should not be legally upheld. This is part of the broader legal remedies available under the Act, designed to ensure justice is done in cases where mere compensation (monetary damages) is inadequate.¹⁶

Order for cancellation to be forwarded to the Registrar

Delivering a copy of the cancellation order to the Registrar who registered the document is required. The Registrar must record the cancellation of the instrument on the copy stored in his book.

- *Ramaswami Konar and another versus Vellayya Konar and another*¹⁷

This case is pertinent to our discussion because, according to the Judgement, Lord Wordsworth J. has distinguished between an instrument's cancellation and a declaration that the instrument does not bind the plaintiff.

This ruling states that only the parties to a transaction may file a claim for the cancellation of an instrument, and the Court may choose to stay the suit. If a third party feels they have been mistreated because the parties to the agreement have fulfilled their obligations under the agreement, or if they have reasonable doubts about a transaction or instrument, they cannot file a lawsuit to have the agreement revoked. The interested third party would have to file a lawsuit for a declaration decree in this case, the Court decided, rather than an instrument cancellation.

There are two methods for cancelling instruments.

¹² Vidyadhar v. Manikrao, (1999) 3 SCC 573.

¹³ *Id.*

¹⁴ *Id.*

¹⁵ Quadricon Pvt. Ltd. V. Bajrang Alloys Ltd. AIR 2008 Bom 88.

¹⁶ *Id.*

¹⁷ (1939)2MLJ400, AIR 1939 MADRAS 894

They are as follows:

- *Total cancellation if the Court rules that the entire document is void.*
- *Only a portion of the instrument is cancelled in a partial cancellation. The Specific Relief Act's Section 32 refers to these cancellations, further discussed in this article's following sections.*

Principal Conditions for Cancellation

Under the Specific Relief Act in India, the principal conditions for the cancellation of instruments are primarily centred around ensuring that justice is served by addressing and rectifying situations where the execution or continuation of an instrument would result in fraud, misrepresentation, or undue hardship to any of the parties involved.¹⁸

The Act stipulates specific grounds upon which an aggrieved party can seek the cancellation of an instrument, emphasising the protection of parties from documents created under circumstances that compromise fairness and equity.¹⁹

The principal conditions for cancelling instruments under the Specific Relief Act in India revolve around principles of equity, fairness, and the prevention of harm. These conditions aim to provide a legal avenue for addressing grievances related to instruments created under questionable circumstances or whose enforcement would lead to unjust results, thereby ensuring that justice is served. The rights of the parties are protected.²⁰ Only after taking into account specific requirements can the Civil Courts cancel an instrument at the request of a party to a transaction.

A party's suit to cancel an instrument filed with the Court will only be considered if one or more of the following conditions is satisfied:²¹

- *If the object against which the party submitting the cancellation claim is null and void. Whether the party can file a claim for cancellation against the relevant instrument.*
- *If the object that is the subject of a lawsuit seeking cancellation could harm the person filing the case.*
- *If the party filing the lawsuit to cancel the instrument does so out of sincere concern that the instrument's performance would cause them harm.*

When the party seeking the cancellation of the instrument has already experienced sufficient injury or damage. If any of the circumstances mentioned above or prerequisites are met, a person may lawfully pursue a claim to cancel an instrument.

One of the fundamental conditions for the cancellation of an instrument is the existence of elements such as fraud or misrepresentation at the time of its creation. The affected party could seek its cancellation if an instrument were created based on false statements or by concealing essential facts. Similarly, instruments that are the product of undue influence or coercion also fall under the ambit of cancellation, as they do not represent the parties' true intent. Another critical condition is a material defect in the instrument that significantly affects the rights and obligations detailed within it. This could be due to errors in drafting, misunderstandings between the parties

¹⁸ Prem singh v. Birbal (2006)5 SCC 353.

¹⁹ *Id.*

²⁰ *Id.*

²¹ *Deccan Paper Mills Co Ltd v Regency Mahavir Properties and others (Civil Appeal No 5147 of 2016).*

regarding the terms, or other factors that result in an instrument that does not accurately represent the agreement between the parties.²²

The Specific Relief Act also considers the potential harm or unfair disadvantage that enforcing the instrument would impose on the aggrieved party. If the continuation of an instrument would lead to undue hardship or inequity, the court may deem its cancellation necessary.²³ This underscores the Act's commitment to fairness and the rectification of situations where the enforcement of an instrument would lead to an unjust outcome. Furthermore, the Act requires that the party seeking cancellation must demonstrate a legitimate interest in the instrument, either as a party to the instrument or adversely affected by it. This ensures that only those with a direct stake in the instrument's effects can challenge its validity.

- *Prem Singh and Others v. Birbal and Others. In 2008*²⁴

In this decision, the Honourable Supreme Court discussed Section 31 of the 1963 Specific Relief Act. The Honourable Court held that where a document is void or voidable, cancellation of the instrument may be trusted. As stated by the Hon. Court, to have a document declared void, a party feeling wronged might not have to bring a case pursuant to Section 31 of the Specific Relief Act, 1963. On the other hand, if a voidable document or instrument is the subject of a similar concern, the cancellation of the instrument necessitates filing a lawsuit under Section 31 of the Specific Relief Act of 1963.

Any instrument by which two or more parties agree to exchange designated performances, such as a contract, deed, lease, insurance policy, Commercial Paper, or a mortgage, may be cancelled if the circumstances of the case warrant it. The judicial remedy of the 'cancellation' of an instrument is granted by a Court in its sound discretion exercising its Equity powers to do justice. If it is apparent that no injustice will result from restoring both parties to the positions they had prior to the execution of the instrument, an instrument may be set aside. If the party seeking the cancellation has an adequate remedy at law.

For example, one can recover damages that will give complete relief, cancellation will be denied. It is available, however, if the defendant is judgment-proof or financially unable to pay damages awarded against him or her. Statutes, too, may provide this equitable remedy as concurrent relief, in addition to damages, in particular cases. The Uniform Commercial Code permits merchants in sales transactions to seek the cancellation of a contract, in addition to an award of damages in a breach of contract suit. A plaintiff is entitled to have an instrument cancelled only if he or she has acted equitably in dealings with the defendant. The principles of equity apply to any case in which this equitable remedy is sought

When a Cancellation request is made

The Specific Relief Act of 1963, Section 31, specifies the conditions that a court may use to revoke an instrument. To have an instrument declared void, a party may, according to the first clause of this Section, file a lawsuit in a civil court if they believe that the performance of a particular instrument has wronged them and that it is now void or voidable, or if they believe that continuing with the transaction could cause them harm. After a case of this kind is filed, the Court must decide whether to declare such an instrument void. The Court has total discretion in certain

²² *Id.*

²³ *Id.*

²⁴ AIR 2006 SUPREME COURT 3608.

situations.²⁵ Therefore, if the abovementioned requirements are met, the Court may order the cancellation of such an instrument.

In accordance with the second clause of Section 31, if an instrument or document that was registered under the Indian Registrations Act, 1908, has been brought before the Court for cancellation, a copy of the decree containing information about the cancellation of the instrument must be sent to the officer with whom the instrument or document had been registered.²⁶ This kind of order is issued for the officer's convenience and to keep his record current. After receiving the Court's directive or decree, the official must mark the copy of the documents as "cancelled" in his register.²⁷

- *Ram Karan vs Bhagwan Das*²⁸

In this case, the Honourable Court clarified how fraud or misrepresentation could result in the cancellation of a document. According to the Honourable Justice, making false assertions in a particular document or instrument to obtain certain benefits is an action that makes the contract's, the document's, or its instrument's performance voidable rather than void. The Court decided that the obligations under the contract might be revoked in this instance. In this instance, the defendants need to have brought a claim under the cancellation of an instrument provisions of the 1963 Specific Relief Act; furthermore, such a claim should have been brought within the time limits specified by the 1963 Limitation Act.

An outsider cannot request cancellation of the lawsuit.

Such a cancellation is intended to clear the title of any cloud. Preventing the misuse of the relevant instrument is the goal of protective justice. The Specific Relief Act's Section 31 grants the right to sue anyone for cancellation, but only if a written instrument is made against that person and that person reasonably fears that should the instrument remain in effect, it will seriously harm them.²⁹

Cancelling a portion is feasible.

Under the Specific Relief Act of 1963 in India, cancelling a portion of an instrument is feasible, subject to certain conditions and the nature of the document itself. This means that if a part of the instrument is found to be voidable or has been executed under circumstances that make it unfair, such as fraud or misrepresentation, that specific part can be cancelled without affecting the validity of the remaining portions of the document.³⁰ This nuanced approach allows for a more precise rectification of grievances, ensuring that only the problematic clauses are nullified while the rest of the document remains in force.

However, the feasibility of cancelling a portion of an instrument largely depends on whether the voidable part can be severed from the rest of the document without defeating the primary purpose for which the instrument was created. The law takes into consideration the intention behind the document and the interconnectedness of its various parts. If the voidable portion is so entwined with the rest of the instrument that its removal would lead to an outcome significantly different

²⁵ Ningawwa vs Byrappa & 3 Ors reported in 1968 AIR 956, 1968 SCR (2) 797.

²⁶ Vikram Sharma, Analyzing the Economic Impacts of Legal Remedies in Contract Law, 9 J. Legal Analysis 157, 157-80 (2021).

²⁷ Aarav Patel, The Specific Relief Act: Navigating Contractual Challenges 123 (1st ed. 2023).

²⁸ 2006 AIR SCW 3595.

²⁹ *Id.*

³⁰ Prem Singh & Ors vs. Birbal & Ors in Appeal (Civil) 2412 of 2006.

from what was initially intended by the parties involved, then partial cancellation may not be permitted.³¹

This provision for partial cancellation underscores the law's flexibility and aim to do justice equitably, reflecting the parties' original intentions.³² It ensures that parties are not unduly penalized by the complete nullification of an instrument due to issues with a specific part of it. Such an approach is beneficial in complex legal documents where multiple rights, obligations, or transactions are recorded, making it possible to address fraud or misrepresentation precisely and fairly.³³

The Specific Relief Act thus provides a balanced framework that acknowledges the complexity of legal documents and the varied circumstances under which they are executed. By allowing for the cancellation of only a portion of an instrument, the Act facilitates a more just resolution of disputes, ensuring that the enforcement of legal documents reflects the true intent of the parties and the principles of fairness and equity.

Instrument Partial Cancellation

Section 32 of the Specific Relief Act of 1963 mentions the partial cancellation of instruments process.³⁴ According to this Section, where a particular element of an instrument is up for cancellation before the Court or when the instrument has multiple rights and obligations imposed upon it, the Court may, at its discretion, only cancel a portion of the instrument and leave the remainder in effect. A section of an agreement that is inconsistent, void, or voidable may be partially cancelled by the Court; the fulfilment of the remaining rights and responsibilities under the agreement will not be affected by this partial cancellation.³⁵

Authority to demand benefits or payment

The standards pertaining to the Court's competence to order the restoration of benefits received and the payment of just compensation if an instrument is cancelled are outlined in Section 33 of the Specific Relief Act of 1963. The primary objective of this Section is to give the parties to a particular document or contract justice if the Court decides to annul it.³⁶

First of all, this Section tells us that if the Court decides to cancel an instrument entirely or partially, the party to whom such relief is granted is required to either restore or claim any benefits that they may have received from the other party or to make the necessary amount of compensation for it. Since a court is a venue for delivering justice to those who approach it, the act lays down these requirements to provide the parties with justice.³⁷

Suppose one or more parties to a transaction are using an instrument unfairly, which is hurting or intended to hurt the party who has filed a complaint. In that case, the Court should be able to cancel the instrument to uphold justice. According to the Specific Relief Act of 1963, the cancellation of an instrument is a protective measure for those parties who fear injury from the other party as a result of the performance of an instrument in which they are involved.

³¹ (2010) 12 SCC 112.

³² *Id.*

³³ Ishaan Khanna & Priya Singh, *Commercial Contracts and Legal Remedies* 89-90 (2nd ed. 2024).

³⁴ Specific Relief Act, § 32 (1963).

³⁵ *Id.*

³⁶ (2010) 12 SCC 112.

³⁷ Rohan Gupta, *Economic Considerations in the Enforcement of Contractual Rights*, 22 GNLU. Int'l L. 182, 182-200 (2019).

Additionally, this Section specifies the circumstances in which a defendant in a lawsuit pertaining to the fulfilment of a contract may seek the cancellation of that contract. The following are the conditions listed in Section 33:³⁸

- *When a defendant tries to reject a contract by asserting that it is voidable, the plaintiff initiates a lawsuit to enforce the terms of the agreement against the defendant. If the Court determines that the contract or other instrument under consideration is voidable, it may also issue an order for its cancellation.*
- *When a defendant attempts to oppose a lawsuit brought by the plaintiff to enforce a contract against them, arguing that the defendant lacks the legal capacity to enter into contracts under Indian law, the plaintiff may bring a suit to execute the contract against the defendant. The Indian Contracts Act of 1872 defines competence to engage in a contract in Section 11. Age and mental capacity might determine someone's competence to enter a contract. The Court will cancel the document or contract in such a situation.*

In accordance with the requirements mentioned above, in the event that the Court issues an order of cancellation regarding an instrument, the defendant will be required to reimburse the plaintiff, the other party, for any benefits they received from them during the performance of the contract or instrument. This will serve the Court's goal of upholding the law.

- *TM v. Bai Jivi (1937) Jeka Dula*³⁹

This case clarifies the justification for instrument cancellations and the requirement for court intervention to effect such cancellations. The decision emphasises how important it is that the Court maintain the rule of law. Therefore, the question of annulment of an instrument is connected to the court's administration of justice.

How to Cancel an Instrument

In India, the cancellation of an instrument under the Specific Relief Act 1963 is governed by a well-defined legal process to protect the interests of individuals who have been wronged by executing a fraudulent, voidable, or unjust document. Cancelling an instrument involves several critical steps meticulously designed to ensure fairness and justice.⁴⁰

Firstly, an individual seeking the cancellation of an instrument must file a suit in a competent civil court. This legal action is predicated on the belief that the instrument in question adversely affects the plaintiff's rights or interests and that its existence could cause harm or injustice. The grounds for cancellation typically include fraud, misrepresentation, undue influence, or the instrument being voidable at the plaintiff's option.

Upon filing the suit, the plaintiff must furnish detailed particulars of the instrument, including its nature, why its cancellation is sought, and how the instrument is detrimental to the plaintiff's interests. The plaintiff must demonstrate to the court the existence of the instrument's adverse effects and the necessity of its cancellation to prevent further harm.⁴¹

The court then examines the case's merits, considering the evidence presented by the plaintiff and the defendant. This phase involves a thorough review of the circumstances under which the

³⁸ Specific Relief Act, § 33 (1963).

³⁹ (1937)39BOMLR1072, AIR 1938 BOMBAY 37.

⁴⁰ AIR 1960 Mad 1.

⁴¹ Ishaan Khanna, The Role of Equity in the Cancellation of Contracts, 12 NLS. Bus. L. Rev. 89, 89-105 (2024).

instrument was executed and whether it violates the rights of the plaintiff or contravenes the principles of justice and equity.⁴²

If the court finds the plaintiff's claims valid, it may order the cancellation of the instrument. This legal decree renders the document void and eliminates its legal effects, thereby restoring the parties, as far as possible, to their original positions before the instrument was executed. Additionally, the court may order other remedies or compensations, depending on the nature of the case and the extent of the damages suffered by the plaintiff.⁴³

According to Section 31 of the Act, a competent court can only declare a registered document invalid. The Registration Act of 1908's Rule 26(k)(I) outlines the procedure that must be followed to cancel a registered document. Regardless of the reason, any individual or entity cannot arbitrarily revoke such a document. A donor may only revoke a registered gift deed by signing a newly registered document; to do so, he must initiate a lawsuit per Section 31 of the Act. A person who executed the sale deed is the only one who may request cancellation in Court.⁴⁴

The process underscores the judicial system's commitment to ensuring that legal documents are not used as instruments of fraud or injustice. By providing a mechanism for cancelling unjust instruments, the Specific Relief Act is vital in maintaining fairness and equity in legal transactions and relationships.⁴⁵

Instrument Cancellation and Its Use in Commerce

In commercial law, cancellation of instruments is important, particularly concerning contracts and financial transactions. An instrument is a written document representing a right, duty, or financial asset. Examples of such documents are contracts, bills of exchange, and promissory notes.⁴⁶ Making a document void is known as the cancellation of instruments, and it has several uses in business law.

Cancellation of Bills of Exchange and Promissory Notes: These financial instruments are pledges to pay a certain amount of money to a specific recipient. Such instruments may be cancelled for several reasons, such as when the parties mutually agree to do so or when the underlying obligation has been fully paid.

Contract Cancellation: Parties may enter into contracts to acquire or sell products and services in business transactions. In the event that all parties decide to end the agreement, a formal cancellation procedure may be followed. This is typical when parties wish to terminate the agreement early or when the contract terms are no longer achievable.

Error or Mistake in Instruments: An instrument may be cancelled and replaced with a rectified version if an error or mistake compromises its validity or intended use. This is necessary to ensure the parties' intentions are appropriately reflected in the instrument.

Check Cancellation: In commercial banking, checks may be cancelled for a number of reasons, including misprints, theft, and loss. The issuer may ask the bank to cancel the cheque to stop unapproved payments.

⁴² Civil Appeal No 5147 of 2016 decided by a larger bench of Hon'ble Justice R F Nariman, Hon'ble Justice Navin Sinha and Hon'ble Justice Indira Banerjee, on 19.08.2020.

⁴³ (2011) 5 SCC 532.

⁴⁴ Aarav Patel, Cancellation of Instruments under the Specific Relief Act: An Analytical Overview, 45 J. Legal Stud. 123, 123-45 (2023).

⁴⁵ (2014) 6 SCC 677.

⁴⁶ Priya Singh, Fraud and Misrepresentation in Contract Law: Seeking Remedies through the Specific Relief Act, 38 NUALS L. Rev 205, 205-29 (2022).

Cancellation of Stock Certificates: Physical certificates are frequently used in the corporate finance industry to represent shares of stock. In the event of a merger or acquisition or when a shareholder wishes to sell their shares, stock certificates may need to be revoked and issued in the new owner's name.

Cancellation of Deeds and Leases: In real estate transactions, errors, fraud, or changes in the situation may result in the cancellation of deeds and leases. This safeguards the parties' rights and interests.

Trade Credit Policy Cancellation: In case of a breach of the policy terms or the insured party no longer requires the coverage, trade credit insurance policies may be cancelled in international trade.

Conclusion

Examining the cancellation of instruments under the Specific Relief Act reveals a nuanced legal landscape that balances the need for contractual freedom with the need for judicial intervention in fraud, misrepresentation, or undue influence cases. This research has illuminated the critical legal mechanisms and principles that govern the cancellation of instruments, underscoring the judiciary's role in upholding justice and equity in contractual relationships.

The Specific Relief Act provides a vital legal remedy for parties seeking to annul contracts or agreements that irregularities have tainted. Through the analysis of case law and statutory provisions, it becomes evident that the courts have adopted a cautious yet pragmatic approach in adjudicating cases of instrument cancellation. The judiciary's meticulous application of the Specific Relief Act ensures that the cancellation of instruments is not taken lightly and is reserved for instances where the integrity of the contractual process has been compromised.⁴⁷

Sections 26 and 31 of the Act specify when an instrument may be amended and when it must be revoked, respectively. The parties may amend the instrument to reflect the intended meaning better if they demonstrate that fraud or error introduced the error. This pertains to agreements or instruments where the purpose was made apparent on their face or when both parties concurred and declared that the purpose was not apparent from the document.

Although "rescission" and "cancellation" are sometimes used synonymously, there is a subtle distinction between the two: a written agreement can only be rescinded; an oral agreement can also be cancelled.⁴⁸ Therefore, upon presentation of evidence, any party may request the cancellation of any contract or instrument that poses a risk of substantial harm or loss to themselves, a third party, or both.

Cancelling instruments under the Specific Relief Act represents a critical area of law that safeguards the principles of fairness and justice in contractual dealings. Through careful judicial scrutiny and the application of equitable principles, the legal system endeavours to rectify the wrongs that occur in the formation or execution of contracts, thereby reinforcing the foundational values of the legal framework governing commercial relationships.



⁴⁷ (2010) 1 SCC 72.

⁴⁸ Law Commission of India, "Report on the Specific Relief Act, 1963," 253rd Report (2017).

Chapter-6

Declaratory Decrees

✦ *Atharva Kulkarni*

Introduction

Declaratory decrees are orders of a civil court reaffirming the right and title of a person over a contested property. Such orders are merely of indicative nature and seek to clear any doubts and conflicting claims regarding the rights of ownership of a certain property. This chapter of the book shall mainly deal with such declaratory decrees and how the prevalent jurisprudence regarding the same has evolved over time.

Section

Chapter VI of the Specific Relief Act pertains to declaratory decrees. The very first section of this chapter; Section 34¹ explicitly states that, “any person entitled to any property or to any right as to any property may institute a suit against any person denying or interested to deny his title to such a right and, the court may make a declaration that the plaintiff is entitled to the concerned property and he need not institute any further suits for relief.” A vital condition for any declaratory decree to be held legitimate is that the plaintiff did not have any other relief at hand which they wilfully chose to omit. Further, Section 35² talks about the effect of such a decree and to whom shall it be applicable.

The plaintiff cannot claim a declaratory decree from a court by merely proving to the court that he has ownership over certain property, the plaintiff also has to convince the court that another person has actively denied or attempted to deny the plaintiff his rightful title to the property concerned. In the case of *Naganna V. Sivanappa*³ the court held that such a decree is there specifically to strengthen testimony and save the rights of the plaintiff regarding a certain property, the section also does not sanction every kind of declaration rather only the kind where the right of the plaintiff to his own property is contested.⁴

Analysis

In the landmark case of *State of M.P. V. Khan Bahadur Bhiwandiwalla*⁵ the fundamental requisites for claiming declaratory reliefs were outlined by the court, these requisites are:

1. Plaintiff was at the time of the suit entitled to any legal character or any right to any property.
2. Defendant had denied or was interested in denying the character or title of such property to the plaintiff.
3. Declaration asked for was that the plaintiff was entitled to a legal character or a right to property.

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¹ Specific Relief Act, 1963, §34, No. 47 of 1963, Acts of Parliament, 1963.

² Specific Relief Act, 1963, §35, No. 47 of 1963, Acts of Parliament, 1963.

³ *Naganna V. Sivanappa* 38 Mad 1162

⁴ *Devkil V. Kedar Nath* L.L.R. 39 Cal 704.

⁵ *State of M.P. V. Khan Bahadur Bhiwandiwalla* AIR 1971 MP 65.

4. Plaintiff is not in a position to claim further relief than merely claiming declaration of his title.

The primary objective of this section is to provide a safeguard and assurance to a person and his legal character or right over a disputed property whose ownership has been clouded deliberately. In the case of *Life Insurance Corporation V. Smt. Iqbal Kaur*⁶ the court held that the threat to a plaintiff's legal right over a property must be real and not imaginary. The court in the case of *Sheoparsan Singh V. Ramanandan Singh*⁷ held that the plaintiff has the onus of proving that the defendant has denied or is interested in denying the legal title to the plaintiff. Furthermore, there has to be some present danger or detriment to the right to property of the plaintiff which would necessitate the doling out of a declaratory decree with regard to the said property.

Another essential element for claiming a declaratory decree is that the plaintiff must have a right to property, the courts over the years have made a distinction between 'right to property' and 'right in property' and it has also been held that to prove that a claim for declaratory decree is genuine, right in property need not be established only the existence of a right to the property concerned is required. In the case of *Mohammed Akabar Khan V. Parsan Ali*⁸ it was held that a suit for a mere declaration that a person is related to another was held to not be a suit establishing a legal right or concerning any property and therefore such a suit would be held to be incompetent. In *Tarak Chandra Das V. Anukul Chandra Mukherjee*⁹ the court held that on the instance of a contingent right being violated or clouded, a declaratory relief can be claimed.

For declaratory reliefs to be claimed it has to be proven that a cloud upon the title of a person's property was created by a third party, in *Bicell V. Kellogg*¹⁰ the term cloud upon a title was defined by the court as; a right which is apparently valid in law, however, in fact is invalid. Therefore, it is the claim over a certain property which prima facie seems legally coherent however, after delving deeper one would be able to point out its invalidity.

One also must understand that, even if the essential requisites of declaratory relief are established by a plaintiff it still is the discretion of the court to grant him the requested declaratory relief, thus, it at the end of the day is a discretionary relief. If appropriate parties are not joined in the plaint or suit, the court is at a liberty to reject the plea for declaratory decree.¹¹ However, such a discretion has to be made on well settled principles of law and the court has to take into consideration the nature and facts of the case at hand. Even then, no absolute rule can be laid down for determining whether this discretionary relief and it is dependent wholly on the facts of a certain case.¹²

The effect of a declaratory decree is enumerated under Section 35 of the SRA, a declaratory decree binds the parties to suit to the decree, it also binds persons and parties claiming through the parties to the suit and any trustees to the decree ordered by a court. The court cannot bind strangers and third parties to a declaratory decree.

⁶ *Life Insurance Corporation V. Smt. Iqbal Kaur* AIR 1984 J&K.

⁷ *Sheoparsan Singh V. Ramanandan Singh* AIR 1916.

⁸ *Mohammed Akabar Khan V. Parsan Ali* AIR 1930.

⁹ *Tarak Chandra Das V. Anukul Chandra Mukherjee* AIR 1946 Cal 118.fo

¹⁰ *Bicell V. Kellogg*, 60 Barbout 629.

¹¹ *Maharaja Benares V. Ramji Khan* ILR 27 All. 138.

¹² *Ram Tawaklal Tewari V. Dulari* AIR 1934 All. 469.

Jurisprudence

In its essence, a declaratory decree is enforced against specific individuals and not the society or community at large. Which is why such decrees rights in personam and not rights in rem, they can only be enforced against individuals and not the society at large. Keeping this in mind a declaratory decree is only actionable against:

1. Parties to the suit
2. Any person on representing such parties
3. Trustees of the parties.¹³

Therefore, accordingly, a declaratory decree by a civil court will only be binding provided it is inter parties & not in rem and does not act as res judicata. Furthermore, the burden of proof in such cases is on the plaintiff, and it is a very heavy burden of proof, which is why the plaintiff cannot depend upon the weakness of the case of the defendant to obtain a decree in this regard.¹⁴

Section 42 of the Specific Relief Act, 1963 talks about the instances wherein a declaratory decree can be issued, it is said that any person who has a legal character, legal right of possession over any property can file a suit for declaration of the same. The apex court in Vema Reddy Raghava Reddy Vs. Konduru Seshu Reddy held that the list of cases under Section 42 where a declaratory decree can be issued is not exhaustive, this implies that declaratory decrees can be claimed under the general provisions of the CPC under Section 9 or Order 7 Rule 7.¹⁵

In the case of Supreme General Films Exchange V. Maharaja Sir Brijnath Singhji¹⁶ the court created certain criteria for the application and enforcement of a declaratory decree. It held that a declaratory decree order under section 42 of the Specific Relief Act is dependent totally on the facts of the cases before the civil court. A total stranger to a contract or situation, having no interest in the property cannot claim a decree. This same precedent was reiterated by the court in several future cases.

The court also analysed some other sections of the SRA and how they effect the functioning of declaratory decrees. Specifically, Section 34 which bestows the substantive right of declaratory decrees to people, in its proviso states that, a declaratory decree for an adversely possessed property would not be valid if the person claiming the decree had alternative options of reliefs available to them to claim possession of their property. In a recent case of Vasantha (Dead) Thr. Lr. v. Rajalakshmi @ Rajam (Dead) Thr. Lrs, the supreme court extrapolated on the interplay of these concepts. The petitioners argued that as the defendants had not claimed a consequential relief of possession of the disputed property, their plea for the declaratory decree should be denied in pursuance of S. 34.

While examining the issue regarding maintainability of the declaratory decree suit, the SC in its reference analysed a number of different cases on the matter. Primarily, the court studied; Ram

¹³ G.Shiva Prasad Yadav, DECLARATION AND INJUNCTION SUITS, <https://cdnbbsr.s3waas.gov.in/s3ec03333cb763facc6ce398ff83845f22/uploads/2024/03/2024031477.pdf>

¹⁴ Union of India Vs. Vasavi Cooperation Housing Society Limited, AIR 2014 SC 937.

¹⁵ Vema Reddy Raghava Reddy Vs. Konduru Seshu Reddy AIR 1967 S.C. 436.

¹⁶ Supreme General Films Exchange V. Maharaja Sir Brijnath Singhji, 1975 AIR 1810.

Saran V. Ganga Devi¹⁷ and Vinay Krishna V. Keshav Chandra¹⁸ cases. In the aforementioned cases, the apex court had held that, in suits for declaratory decrees, if a consequential relief of possession of the contested property or the property under consideration, then, the entire suit would be nullified by the proviso of S. 34 and thus, the declaratory decree would not be valid or maintainable.

These cases did not really extrapolate on the reasoning and the logic of applied by the apex court for upholding the bar on declaratory proceedings, this was done under the case of Venkataraja and Ors. v. Vidyane Doureradjaperumal (Dead) through LRs¹⁹ in which the SC elaborated on the reason behind the bar on proceedings. In this case, the court stated that such a proviso in the section had been upheld to avoid any multiplicity of proceedings revolving around the same cause of action or claim on property. It also noted that bare declaratory decrees remain non-maintainable in usual cases. Implying that for such a decree or suit to sustain in a civil court proceeding, it must be followed up with a consequential relief of possession of the contested property. This same rationale was again reiterated in the case of Akkamma v. Vemavathi²⁰, in the case at hand, the SC after examining the facts and pleadings, did not find any consequential reliefs which were sought by the defendants, thus, keeping in mind the previously established precedents, the court rejected the plea for declaratory decree.

In a rather recent decision, the High Court of Himachal Pradesh again extrapolated on the proviso of Section 34 of the Specific Relief Act, 1963. The Court ruled that Section 34 does not automatically bar a suit for mere declaration of title, even if the plaintiffs could have sought additional consequential relief. The opinion of the court was given in a plea challenging the rejection of plaint under Order 7, Rule 11(d) of the Civil Procedure Code, 1908.

The petitioners' principal argument was that the respondents, who asserted ownership of the contested land, had never actually been in possession of it. The petitioners contended that Section 34 of the Specific Relief Act precluded the litigation since it was for a declaration rather than the consequential relief of possession. The respondents, however, refuted this claim by asserting that their continued visits to their grandfather's estate proved their ownership even after his passing. They claimed that the application to reject the plaint was made too soon and that the possession issue ought to be decided during the main lawsuit. After a thorough analysis by the court, it held that, Section 34 of the act does not mandate dismissal of a declaratory suit merely because no consequential relief had been provided by the party in question. Rather, it entrusts the court with the power to withhold the declaratory decree provided a party has not used alternatives, even though it was in a position of power to do so.

In the present case, the court observed that, the respondents had in fact sought for consequential reliefs, which included; permanent injunctions prohibiting the petitioners from seeking possession and damages.²¹ A two judge bench of the SC in a very recent decision held that unless a

¹⁷ (1973) 2SCC 60.

¹⁸ 1993 Supp (3) SCC 129.

¹⁹ (2012) 8 SCC 148

²⁰ 2021 SCC Online SC 1146.

²¹ Sudhakar Sharma & Ors. V. Nandini Mishra & Ors, 2023 LiveLaw (HP).

consequential relief has been attached by the party in a suit, a declaratory relief cannot be maintained and the proviso of S.34 would nullify any claims in that regard.²²

In *Smt Ramkali V. Smt Muritkumari*, the HC of Madhya Pradesh held that a declaratory decree cannot be refused or rejected by the court on the pretext of it being futile or unnecessary. Even if a declaratory decree is not applicable or executable in the facts of a certain case, this cannot be a reason to outrightly reject a plea or suit for declaratory decrees.

Declaratory decrees have been enforced and applied in multiple cases of differing nature, in *Veruareddi Ramaraghava Reddy And Ors vs Konduru Seshu Reddy And 2 Ors*²³ the apex court explicitly held that, a civil court cannot be restricted to merely S. 42 of the SRA while granting such decrees. And therefore, this concept should be applied liberally while paying heed to the emergent facts of the cases.

In *N. Tiwari V. R. Shekhar*²⁴, a declaratory decree was granted by the court to a party to the suit allowing his mother to watch over the a court mandated paternity DNA test, the order granting supervisory rights to the mother was done to avoid any form of tampering with the results. In *Narsamma V. madras regiment*²⁵, a second wife of a husband treid to seek a declaratory decree entitling her to be the legitimate wife, however, she was unable to prove her credentials as required by law and thus was denied the decree. The court has also held that in a defamation suit, if the plaintiff prefers a declaratory decree against the defamatory imputations made by the defendants, then the defense should be against the decree itself and not the defamation claim.²⁶

Section 7 (iv) of the Court Fees Act, also elaborates on the concept of declaratory decrees and states that they shall only come under the ambit of the act once a consequential relief has been claimed. Court has also opined on whether S. 7 should apply to computation of court fees in declaratory decrees or should Schedule I, Art. 17 of the same legislation apply. Over this, the court held that, any civil court in such a situation must look at the pith and substance of the remedy claimed, if it happens to be merely a consequential relief then normal provisions of court fees can be applied whereas if it happens to be an appropriately sought declaratory decree then the relevant provision must apply.²⁷ It has also been held through recent judgements that, res judicata would not apply to cases where the law on declaratory decrees has substantially and significantly changed over time.²⁸

Conclusion

Declaratory Decrees form an essential part of a country's civil law landscape and aid in reaffirming the rights of persons over their properties, whether movable or immovable. The Specific Relief Act, 1963 jots down the substantive procedure of such decrees and also lists the instances in which they can be claimed. As given above, a myriad of court judgements,

²² VASANTHA (DEAD) THR. LR v. RAJALAKSHMI @ RAJAM (DEAD) THR.LRs., CIVIL APPEAL NO. 3854 OF 2014, 2024 LiveLaw (SC) 117.

²³ Veruareddi Ramaraghava Reddy And Ors vs Konduru Seshu Reddy And 2 Ors 1967 AIR 436

²⁴ R. Tiwari V. R. Shekhar 2012 12 SCC 554

²⁵ Pilla Appala Narsamma v. Madras Regiment, AIR 2011 AP 183.

²⁶ Jayalalitha V. Nakheerangopal (2009) 1 CTC 798.

²⁷ Panchu Nonia & Ors vs Smt. Urmila Sinha, W.P.(C) No. 5883 of 2010.

²⁸ Govt. Of Nct Of Delhi Thr Secretary, Land ... vs M/S. K.L. Rathi Steels Ltd. CIVIL APPEAL NO. 11857 OF 2016.

throughout the entire judicial system in India have aided in the conceptual development of this legal tool. Certain lacunae regarding the applicability and maintainability of these decrees have also been clarified and expounded upon by the courts in India. Alas, a declaratory decree, being a popular form of civil relief must be handled with extraordinary care and caution by the courts, for it could be a subject of malice and futile proceedings especially by individuals who do not have any privity in the subject matter of the suit.

Multiple judgements of the courts in India have through their judgements attempted to define the scope of declaratory decrees, they have applied the same concept on a large variety of subject matters, and thus have cemented it as a rudimentary civil right of the citizens of the country in order to protect their interests. The courts and the government should endeavour to develop this niche field of law and expand its reach with the contemporary times.



Chapter-7

Injunctions

✦ **Nandini Singh**

In India, the concept of the Law of Injunction in English Jurisprudence of Equity holds significant importance, shaping our current legal framework. Derived from the French and Latin verb 'injungere,' meaning "to join," an injunction represents an authoritative directive or order. This legal remedy, which can be traced back to Roman Law where it was known as interdict, was adopted by the English people and further developed during the time of Henry. It's crucial to understand this historical background to appreciate the origins of Equity's power.

The jurisdiction to issue injunctions is considered a potent tool of the courts, reinforcing the judiciary's role in resolving disputes between litigating parties. In the Indian legal context, the statutory framework governing injunctions is outlined in various statutes such as

- The Civil Procedure Code (CPC), 1908
- The Specific Relief Act, 1963.

Under the Specific Relief Act, 1963, the provisions related to injunctions are outlined in **Chapter VII, Sections 36-42**. Additionally, the Code of Civil Procedure, 1908, addresses injunctions under **Order 39, Rules 1-5**. In essence, injunctions serve as preventive relief, granted at the court's discretion to halt certain actions. They may be temporary or perpetual, with specific injunctions continuing until a specified time or until further orders of the court.

In practical terms, injunctions aim to prevent harm or maintain the status quo while legal proceedings are underway¹. When a superior court issues an injunction, it effectively stays the actions of the lower court, providing a measure of control over the legal process.

Injunction is *in personam*

Stay is *in rem*

Only one party can be an applicant. Both the parties have the right to file an application for injunctions; injunctions can be given against one's favour.

Section-36 – *Preventive relief how granted.—Preventive relief is granted at the discretion of the court by injunction, temporary or perpetual.*

Preventive relief is granted the discretion of court, through injunction. There are different types of injunction such as perpetual, mandatory which are being discussed in the next section.

Section-37- *Temporary and perpetual injunctions.—*

- (1) *Temporary injunctions are such as are to continue until a specific time, or until the further order of the court, and they may be granted at any stage of a suit, and are regulated by the Code of Civil Procedure, 1908 (5 of 1908).*

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¹ Pollock & Mulla: The Indian Contract and Specific Relief Acts, 16th ed.

- (2) *A perpetual injunction can only be granted by the decree made at the hearing and upon the merits of the suit; the defendant is thereby perpetually enjoined from the assertion of a right, or from the commission of an act, which would be contrary to the rights of the plaintiff.*

The section however is a very straightforward section it does include very basic principles of CPC.

Section 37(1) - Regulated by CPC 1908 (act no-5), **order 39 rule 1-5**, Injunction given during the proceedings are called as Temporary Injunction, Such injunction are applicable on the parties for the time being. When the decree comes then these injunctions would be gone. Status quo [on the existing stage] would be maintained. The Supreme Court ruled that temporary injunctions can only be granted if the petitioner has a clear and enforceable right that can be protected through such relief².

Whatever the progress of such disputed property is, the court stops the work during the proceeding. Also called as Interim (when suit is still pending) order-(during the order), and interim- in the meantime, between the proceeding.

Order 39:

Rule-1³ – Given below are certain grounds, on which injunctions are given:

- Fraud
- Nature of properties
- Breach of contract
- The price will go down if the injunction is not given immediately.

According to Order 39, Rule 1, the court has the authority to issue a temporary injunction in the following circumstances:

- When there is a risk that the property in question might be wasted, damaged, alienated, or improperly sold by one of the parties involved in the legal dispute.
- If an individual has made threats or indicated an intention to dispose of their assets in order to deceive their creditors. This condition specifically applies to the accused party.
- When the plaintiff is threatened with harm or disempowerment by the defendant concerning the disputed property.
- If the accused party breaches any agreement or peace treaty.

Rule-2 Under Order 39, rule 2⁴, the court can issue an injunction to prevent the repetition of a breach or the continuation of a contract. If a person violates this injunction, they may face civil imprisonment for a maximum of three months. Additionally, the court is authorized to attach the property of the guilty party for up to one year. However, if the violation persists, the attached property may be sold.

² *Agricultural Produce Market Committee Vs. Girdharbhai R. Chhaniyara*, AIR 1997 SC 2674

³ Order XXXIX, Rule, 1

⁴ Order XXXIX, Rule, 2, Code of Civil Procedure, 1908.

In the 1983 case of *Ram Prasad Singh v. Subodh Prasad Singh*⁵, it was clarified that an individual can be held accountable under Order 39, Rule 2-A of the CPC, 1908, irrespective of their original involvement in the lawsuit. This accountability arises if it can be proven that they acted as the defendant's agent and knowingly breached the injunction.

Rule-3- Rule 3 of order 39⁶ talks about the issuing of the notice. The opposite parties get a notice (for injunction), some cases are also there wherein notice is not issued to the party, when the loss might be very heavy.

In the case of *Morgan Stanley Mutual Fund vs Kartik Das*⁷ it was related to ex parte injunction (without notice basically, as the loss might be very heavy to the plaintiff).

Grounds to issue ex parte injunction-

- Temporary relief, limitations would be less.
- Even after ex parte injunction, the party can give application

3) And if the plaint goes through too much of loss

The Delhi High Court overturned an ex parte injunction that had barred the publication of information that appeared to show bias in one of India's leading media outlets. The media outlet got the order from a single judge of the High Court after arguing that the disclosure would be irreversibly detrimental to them. The Court cited to Indian and foreign jurisprudence, which established that a court must meet an extraordinarily high bar before allowing pre-publication restrictions on potentially defamatory material, and remanded the matter to the sole judge for reconsideration. Dainik Bhaskar petitioned the Delhi High Court for a permanent injunction on the documentary's screening under Order 39, Rule 3 of the Code of Civil Procedure, 1908. The media outlet argued that the alleged discoveries were "based on blatant falsifications/deceptive operations to defame the plaintiff" [para. 5].

On May 24, 2018, a single judge of the Delhi High Court ordered an ex-parte (hearing only one side) injunction, directing that the documentary and email from May 10 not be published into the public sphere until further Court decisions.

Rule-4⁸- order may be discharged, varied or set aside.

In the case of *Bank of Baroda vs. Union Bank of India and Ors*⁹, the Appellant contested the order dismissing both his and Respondent No. 1's applications filed under Order 39 Rule 4 of the Code of Civil Procedure, 1908 (CPC). These applications aimed to vacate the order dated February 25, 2013, which was affirmed by the subsequent order on August 13, 2015. The contested order indicates that an application under Order 39 Rule 4 of the CPC is valid only if a party made false and misleading statements in the temporary injunction application or the supporting affidavit, and the injunction was issued without notifying the opposing party. The second proviso to Order 39 Rule 4 of CPC states that if an order of injunction is issued after giving a party an opportunity to be heard, the order may not be discharged, varied, or set aside

⁵ *Ram Prasad Singh v. Subodh Prasad Singh* AIR1983PAT278

⁶ Order XXXIX, Rule, 3, Code of Civil Procedure, 1908.

⁷ *Morgan Stanley Mutual Fund vs Kartick Das*, 1994 SCC (4) 225

⁸ Order XXXIX, Rule, 4, Code of Civil Procedure, 1908.

⁹ *Bank of Baroda vs. Union Bank of India and Ors*, Manu/De/0612/2022

unless such discharge, variation, or setting aside is required by a change in the circumstances or the Court is satisfied that the order has caused undue hardship to that party. As noted by the trial Court, no modifications or amendments are sought in the judgement of August 13, 2015, which confirmed the previous ad-interim ruling dated February 25th, 2013.

Furthermore, no evidence was presented to establish that the Appellant had endured any hardship or that the circumstances had changed. The trial court further noted that the appellant had not filed an appeal against either the order of February 25, 2013 or the order dated August 13, 2015. The appellant's application does not meet the conditions of the second proviso to Order 39 Rule 4 of CPC, hence the orders dated February 25, 2013 and August 13, 2015 do not support any modification or vacation under Order 39 Rule 4 of CPC. The trial court made no error in denying the appellant's application under Order 39 Rule 4 of the Civil Procedure Code. The appeal thus lacks merit. The relevant litigation is a lawsuit disputing the invocation of a letter of credit that has been outstanding since 2013. It is directed that the trial court accelerate the proceedings. The appeal was dismissed.

Rule-5¹⁰- if injunction is given to a corporation, then it will be applicable to its members.

Principles on which **order 39** works-

3 principles are as follows¹¹:

- 1) **Prima Facie** (on the face of it)- the court in order to grant injunction, need not go into the merits of the case, they can
- 2) **Balance of convenience**- when there is more profit for the plaintiff than the r's loss, then the injunction can be issued. Case law- *Dalpat kumar vs Prahlad singh*¹² –Based on Balance of inconvenience- if defendant's loss is more than plaintiff's profit then no injunction but if plaintiff has more profit than respondent's loss then injunctions can be issued. No injunction is issues when trespasser files the case,

Inconvenience- no injunctions shall be given, when there is more loss than the profit, whether it is plaint or respondent.
- 3) **Irreparable injury**- if not given injunction, then there would such a loss to plaintiff for which there would be no compensation.

The case of *Gujarat Bottling Co Ltd v. Coca Cola Co*¹³ is a landmark decision in the realm of franchise agreements and is frequently cited in legal discussions. The division bench, comprising Justices J.S.C. Agarwal and Saghir Ahmed, delivered a unanimous judgment. Initially, the case was heard by the Bombay High Court under Judge Dhanuka, who imposed interim injunctions restricting the trade activities of Gujarat Bottling Co. (GBC). Dissatisfied with this outcome, GBC escalated the matter to the Supreme Court. This comprehensive 33-page ruling is particularly noteworthy for its judicial interpretation of Section 27 of the Indian Contract Act¹⁴, which deals with agreements in restraint of trade.

¹⁰ Order XXXIX, Rule, 5, Code of Civil Procedure, 1908.

¹¹ *M. Gurudas and Ors*, AIR2006 SC 3275

¹² *Dalpat kumar vs Prahlad singh*, (1992)1 SCC 719.

¹³ *M/S Gujarat Bottling CoLtd & Ors v The Coca Cola Co & Ors*, [1995] SC, 5 (SC).

¹⁴ Indian Contract Act, 1872, Section 27.

The agreements of 1993 and 1994 between the parties were found to be distinct in nature. The 1993 agreement provided Gujarat Bottling Company (GBC) with a license to deal in Coca-Cola products, whereas the 1994 agreement pertained to the registration of the user agreement. These agreements served different purposes and had varying scopes of application. According to Section 62 of the Indian Contract Act¹⁵, an existing agreement cannot be replaced by a new one unless the parties mutually consent or intend such substitution, which was not evident in this case. It was adjudicated that GBC did not comply with the contractual provisions binding both parties, thereby rendering them liable for the breach. Moreover, paragraph 14 of the 1993 agreement was deemed not to constitute a restraint of trade as its application was limited to the duration of the agreement and did not extend beyond that period. The clause was mutually agreed upon by the parties with the intent of promoting Coca-Cola products for their mutual benefit, and thus, did not fall under trade restrictions.

It was argued that the interim injunction granted to the appellants adhered to the negative covenant in the 1993 contract. This injunction prohibited GBC and various other parties involved in the production and distribution of Coca-Cola products from engaging in any similar contracts with other companies or trademarks for one year following the termination notice dated January 25, 1996. Based on these grounds, the appellants' plea was dismissed. The court did not waive the interim injunction filed on GBC, which is now occupied by PepsiCo. GBC stated that the order would force many of the organization's employees to lose their jobs. However, the court's argument was contrary to their desires. Before contracting with Coca Cola, GBC was aware of all of the terms of the 1993 agreement, and Coca Cola denied the appellants the syrup because the requirements were not followed. It was clear that by advancing its shares to PepsiCo, GBC acted in an unfair manner, revealing the secret of Coca-Cola's syrup, and will thus suffer the consequences of its deliberate decision.

The 3 principles of order 39 are discussed in this case law and certain guidelines are issued by the court which are as follows:

- An petitioner seeking an injunction must present a **prima facie** case in his favour.
- The court must consider the **applicant's actions**. Such conduct must be investigated even after an application to set aside an order under order 39 Rule 4 of the code has been filed.
- If such an order is not issued, the court must consider the comparative **balance of loss incurred by the applicant and the respondent**. In such a situation, the court must first determine the magnitude of the plaintiff's loss and whether such loss is recoupable through monetary compensation. The court must then consider the respondent's potential loss if such an order is issued. After evaluating the aforementioned, the court will determine which party incurs the higher loss, and the party with the bigger and irreparable harm will have a **balance of convenience** in their favour, and the court will then pass or oppose the order accordingly.
- If ordered by the court, the party may be required to **deposit security or an undertaking to pay compensation**.

Section- 37(2) - perpetual means permanent- after decree is passed then the injunctions given after it would be perpetual injunctions.

¹⁵ Indian Contract Act, 1872, Section 62.

CHAPTER VIII

Section 38- *Perpetual injunction when granted.—*

- (1) *Subject to the other provisions contained in or referred to by this Chapter, a perpetual injunction may be granted to the plaintiff to prevent the breach of an obligation existing in his favour, whether expressly or by implication.*
 - (2) *When any such obligation arises from contract, the court shall be guided by the rules and provisions contained in Chapter II.*
 - (3) *When the defendant invades or threatens to invade the plaintiff's right to, or enjoyment of, property, the court may grant a perpetual injunction in the following cases, namely:—*
 - (a) *where the defendant is trustee of the property for the plaintiff;*
 - (b) *where there exists no standard for ascertaining the actual damage caused, or likely to be caused, by the invasion;*
 - (c) *where the invasion is such that compensation in money would not afford adequate relief;*
 - (d) *where the injunction is necessary to prevent a multiplicity of judicial proceedings.*
- 38(1)- to prevent any breach of an obligation in favour of plaintiff- for example if there is a contract or some obligation, which is in favour of the plaintiff, such obligation shall be performed by the defendant.

Section- 38(2)- sticking to the provisions of the contract mentioned.

Section- 38(3)- defendant invades or threatens to invade property-

perpetual injunctions can be granted when : a) when defendant plays a role of the trustee, and tries to harm the rights of plaintiff, then perpetual injunction shall be granted b) no ascertainment of the actual damage c) money not an adequate relief d) to avoid multiplicity of proceedings

Section- 39 *Mandatory injunctions.—When, to prevent the breach of an obligation, it is necessary to compel the performance of certain acts which the court is capable of enforcing, the court may in its discretion grant an injunction to prevent the breach complained of, and also to compel performance of the requisite acts.*

A mandatory injunction is the strictest type of injunction, requiring the defendant to do a certain act. A required injunction applies when a court mandates the removal of a building or structure owing to improper construction. It is granted when there is a need to complete any act to fulfil the provision mentioned in the obligation or the contract. To avoid breach of contract, defendant is given order to complete the act, then it is called a mandatory injunction.

As mentioned in the case of **Puran Chand v. Nityanand**¹⁶, Injunction is an equitable relief, and it is well established law that equity acts in personam; thus, injunction is a personal affair. The goal of a mandatory injunction is to return a faulty state of affairs to their proper order. The primary distinction between a prohibitory injunction and a mandatory injunction is that the former prohibits the defendant from doing a specific thing in a specific manner, whereas the latter directs

¹⁶ *Puran Chand v. Nityanand*, AIR 1958 Punj 460

the defendant to do a specific thing, and if he fails to do so, the Court enforces it through its officers.

In *Atma Ram v. Charanjit Singh*¹⁷, the Supreme Court held that a plaintiff's conduct is extremely important in a claim for particular performance. A person who submits a legal notice in a specified year claiming readiness and willingness but then files suit three years later with merely a prayer for a mandatory injunction and a fixed court fee is not entitled to discretionary specific performance relief.

Section 40- Damages in lieu of, or in addition to, injunction- —

(1) *The plaintiff in a suit for perpetual injunction under section 38, or mandatory injunction under section 39, may claim damages either in addition to, or in substitution for, such injunction and the court may, if it thinks fit, award such damages.*

(2) *No relief for damages shall be granted under this section unless the plaintiff has claimed such relief in his plaint:*

Provided that where no such damages have been claimed in the plaint, the court shall, at any stage of the proceedings, allow the plaintiff to amend the plaint on such terms as may be just for including such claim.

(3) *The dismissal of a suit to prevent the breach of an obligation existing in favour of the plaintiff shall bar his right to sue for damages for such breach.*

Now this section talk about whether apart from the injunctions, damages be given? Yes, if plaintiff wants damages in lieu of injunction, it can be given

Section- 40(1)- This section talks about, if the plaintiff agrees to get damages in lieu of the injunctions it can be done by the court¹⁸.

Section- 40(2)- For 40(1) to be fulfilled the plaintiff has to file an application with the plaint, that he/she need damages with injunctions. Additionally, if the plaintiff doesn't ask for damages, and the court finds it justifiable to grant injunction as well as compensate with the damages, then the court can grant such plea.

Section- 40(3)- after the dismissal of suit, that too in the favour of plaintiff, and later plaintiff wants damages with injunctions then it is not permissible by the court.

Section- 41- Injunction when refused: An injunction cannot be granted—

(a) *to restrain any person from prosecuting a judicial proceeding pending at the institution of the suit in which the injunction is sought, unless such restraint is necessary to prevent a multiplicity of proceedings;*

(b) *to restrain any person from instituting or prosecuting any proceeding in a court not subordinate to that from which the injunction is sought;*

(c) *to restrain any person from applying to any legislative body;*

(d) *to restrain any person from instituting or prosecuting any proceeding in a criminal matter;*

¹⁷ *Atma Ram v. Charanjit Singh*, AIR 2020 SUPREME COURT 3413

¹⁸ Pollock & Mulla: The Indian Contract and Specific Relief Acts, 16th ed.

- (e) *to prevent the breach of a contract the performance of which would not be specifically enforced;*
- (f) *to prevent, on the ground of nuisance, an act of which it is not reasonably clear that it will be a nuisance;*
- (g) *to prevent a continuing breach in which the plaintiff has acquiesced;*
- (h) *when equally efficacious relief can certainly be obtained by any other usual mode of proceeding except in case of breach of trust;*
- [(ha) *if it would impede or delay the progress or completion of any infrastructure project or interfere with the continued provision of relevant facility related thereto or services being the subject matter of such project.*]
- (i) *when the conduct of the plaintiff or his agents has been such as to disentitle him to be the assistance of the court;*
- (j) *when the plaintiff has no personal interest in the matter.*

In 1963, Section- 41 had 10 clause from (a) to (j) and after 2018 amendment act after (h) clause (ha) clause were added additionally¹⁹. Therefore we have 11 clauses, wherein, the court can refuse to grant injunctions-

- 41(a)- Example – A comes to the court to file a suit of injunction, and the proceedings are pending for the same, so B(defendant) goes to the court, and files a suit of injunction to stop the proceedings of A's injunction proceeding.
- 41(b)- to prevent anybody from commencing or prosecuting any case in a court that is not subordinate to the one from which the injunction is sought; for example, if proceedings are ongoing in the UP district court, and A travels to the Jabalpur High Court to file a suit for injunctions, the court is not subordinate to it.
- 41(c)- Injunctions shall not be granted to restrain anyone from applying to any legislative body; or to prevent a specific individual from applying to a legislative body.
- 41(d)- Injunctions are not given to prevent anybody from initiating or prosecuting a criminal proceeding; instead, they are used to stop a criminal procedure.
- 41(e)- Injunctions will not be given to prevent the breach of a contract whose performance cannot be explicitly enforced.
- 41(f)- to prevent, on the ground of nuisance, an act of which it is not reasonably clear that it will be a nuisance;- nuisance is not proved, injunctions shall not be issued.
- 41(g)- to prevent a continuing breach in which the plaintiff has acquiesced;
- 41(h)- when equally efficacious relief can certainly be obtained by any other usual mode of proceeding except in case of breach of trust;
- 41 (i)- when the conduct of the plaintiff or his agents has been such as to disentitle him to the assistance of the court;

¹⁹ The Specific Relief (Amendment) Act, 2018

41(j)- when the plaintiff has no personal interest in the matter.

Section 42- *Injunction to perform negative agreement, - Notwithstanding anything contained in clause (e) of section 41, where a contract comprises an affirmative agreement to do a certain act, coupled with a negative agreement, express or implied, not to do a certain act, the circumstance that the court is unable to compel specific performance of the affirmative agreement shall not preclude it from granting an injunction to perform the negative agreement:*

Provided that the plaintiff has not failed to perform the contract so far as it is binding on him.

If there is an injunction, which has both values of negative as well as positive, then negative injunction can be issued. Section 42 of the Specific Relief Act²⁰ only applies to cases when a person initiates an action asserting a legal entitlement or property right that the defendants dispute or are interested in. Section 42 applies to cases when the plaintiff seeks to protect their legal character or property. However, if this right is not engaged, the suit cannot be maintained.

INJUNCTION IN IPR

Quia Timet Injunctions:

A Quia Timet injunction originated in English law and can be employed when a plaintiff's rights have not yet been violated but are threatened or likely to be harmed. This type of injunction can be permanent, temporary, prohibitive, or mandatory. In the case of *Angela Drury v. Secretary of State for the Environment, Food, and Rural Affairs*²¹ (2004), the court stated that a Quia Timet injunction is issued to avert an anticipated threat or potential breach of the plaintiff's rights. Additionally, there must be clear and convincing evidence that a real breach is probable, as established in *Redland Bricks v. Morris*²².

In literal terms, quia timet means "because he fears." These injunctions are awarded in situations where there is a good chance that intellectual property will be violated even though it hasn't happened yet. The petitioner must demonstrate a genuine fear that the illegality would materialise and will happen without a doubt unless the court steps in and issues an order of injunction. In the case of *Super Cassette Industries Ltd. v. Myspace Inc*²³, an argument was advanced asserting that Quia Timet injunctions ought to be restricted solely to cases of copyright infringement and should not extend to instances of trademark infringements. However, the Court adjudged that the principle of Quia Timet is applicable to any tortious liability, including trademark infringements, where there exists a reasonable apprehension of infringement likely to occur.

Imagine a scenario where a homeowner, Mr. Sharma, discovers that his neighbour, Mr. Gupta, is planning to build an extension to his house that would block Mr. Sharma's scenic view. Mr. Sharma wants to stop Mr. Gupta from constructing the extension and considers seeking an injunction. However, under Section 41(e) of The Specific Relief Act, 1963²⁴, an injunction cannot be granted to prevent the breach of a contract whose performance would not be specifically enforced. Since the agreement between the neighbours about the view is not one that can be specifically enforced by the court (it's a personal preference rather than a legal right), Mr. Sharma

²⁰ The Specific Relief Act, 1963, Section 42.

²¹ *Angela Drury v. Secretary of State for the Environment, Food, and Rural Affairs*, [2004] EWCA Civ 200.

²² *Redland Bricks v. Morris*, 1970 A.C. 652

²³ *Super Cassette Industries Ltd. v. Myspace Inc.* (MIPR 2011 (2) 303)

²⁴ The Specific Relief Act, 1963, Section 41(e).

cannot obtain an injunction on this basis. Furthermore, if Mr. Sharma has known about Mr. Gupta's construction plans for a long time and has not taken any steps to contest it, under Section 41(g)²⁵, he cannot seek an injunction due to his acquiescence to the continuing breach.

Mareva injunctions:

A freezing order, also known as an interlocutory ad personam injunction, is a judicial remedy used frequently in cases of fraud or asset theft. When an injunction is granted in favour of the Plaintiff, it prevents the Defendant from taking assets out of the jurisdiction or from handling or distributing the assets in a way that would make the enforcement of the decree null and void (an impotent legal judgement). The status quo may be maintained until the Court rules on the parties' rights and obligations. The primary purpose of a Mareva injunction is to assist in debt recovery, protecting the creditor by stopping the debtor from fleeing the country or selling their assets abroad. Furthermore, it serves to safeguard the party's entitlement to payment in the event of a contract breach, particularly in situations where the liability is mentioned in the contract itself.

The Mareva Injunction, named after the case *Mareva Compania Naviera SA v International Bulkcarriers SA*²⁶, originated when the Court of Appeal granted an ex-parte injunction. This injunction restricted the Defendants from transferring their funds out of the Bank of London, ensuring the Plaintiff could claim the money if their case succeeded.

To obtain a Mareva Injunction, certain conditions must be met:

1. The Plaintiff must have a legal or equitable right that is recognized by the court. They need to present evidence showing that the Defendant is attempting to dispose of assets to evade the judgment.
2. The Plaintiff would suffer irreparable harm if the injunction were not granted.
3. The balance of convenience should favor the Plaintiff.
4. Additional relevant factors, such as public interest, should be considered.

In India, a Mareva Injunction can be issued under Order 38 Rule 5²⁷ and 6²⁸ or Order 39 Rule 1²⁹ of the CPC. The case of *Mohit Bhargava v. Bharat Bhusan Bhargava*³⁰ established Indian courts' power to issue a Mareva injunction. It is essentially an interlocutory injunction. To secure a Mareva order, the Plaintiff must satisfy similar elements required for any interim injunction, including a prima facie case, balance of convenience, and irreparable injury. Over time, the criteria for such an injunction have been refined to include:

- The presence of a cause of action at the time the order is requested, with the Plaintiff demonstrating a strong case.
- The Defendant must have assets within the court's jurisdiction.
- The balance of convenience must favor the Plaintiff.

²⁵ The Specific Relief Act, 1963, Section 41(g)

²⁶ *Mareva Compania Naviera SA v International Bulkcarriers SA*, 1975 EWCA Civ. J0623-5

²⁷ Order XXXVIII, Rule 5, Code of Civil Procedure, 1908.

²⁸ Order XXXVIII, Rule 6, Code of Civil Procedure, 1908.

²⁹ *Supra* note 4.

³⁰ *Mohit Bhargava v. Bharat Bhusan Bhargava*, 2007 (3) SCJ 735

- The Plaintiff must show that the Defendant lacks integrity and there is a significant risk of asset dissipation.
- The Plaintiff must not have delayed in seeking the injunction.

In the case of *Raman Tech. & Process Eng. Co. v. Solanki Traders*³¹, the Supreme Court endorsed the guidelines mentioned. This ruling clarified the nature and scope of a Mareva Injunction, emphasizing that it should be used sparingly and in strict compliance with established rules to balance the rights of both the Plaintiff and the Defendant. The injunction is not intended to enable the Plaintiff to convert an unsecured debt into a secured one or to coerce the Defendant into a settlement. Furthermore, it should not give the Plaintiff priority over the Defendant's assets without proper evidence. The Defendant's ability to conduct business should not be hindered unjustly. Typically, a Mareva Injunction is granted at the early stages of legal proceedings, but it remains interlocutory even if issued after the final judgment since it provides no final relief but is ancillary to the main or substantive relief.

Anton Piller Order:

The Anton Piller Order is particularly valuable in intellectual property cases, permitting one party to enter another's premises to search for and seize materials and evidence related to infringement. This practice is intended to prevent the destruction or concealment of crucial evidence. Such an order is applicable when there is a substantial risk that the defendant may destroy critical evidence to obstruct justice. To mitigate this risk, the plaintiff can apply ex-parte, meaning without notifying the defendant, to obtain a court order that allows entry into the defendant's premises to secure evidence. This order, functioning as a mandatory injunction, can be granted under specific statutes, such as the Copyright Act and other intellectual property laws. It is primarily used in intellectual property cases but can also be utilized post-judgment to locate assets for the execution of a decree.

While an Anton Piller order bears resemblance to a search warrant, there are significant differences. An Anton Piller order allows the plaintiff to enter the defendant's property without the defendant's prior consent. The defendant, mandated by the court order, must comply with this directive permission, failing which could lead to contempt of court proceedings and adverse inferences. An Anton Piller order is a personal directive to the defendant to permit inspection. This order originates from the case *Anton Piller KG v Manufacturing Process Ltd*³², where the court first permitted the plaintiff to enter the defendant's premises to search for evidence without prior notification. These orders can be issued under the court's inherent jurisdiction as a court of equity to ensure justice. However, the court emphasized that such orders should only be granted in exceptional circumstances. The criteria for establishing exceptional circumstances include:

- There must be an exceptionally strong prima facie case.
- The potential or actual damage to the plaintiff must be substantial.
- There must be clear evidence that the defendant holds incriminating documents and that there is a real risk they may be destroyed before an inter partes application can be made.

Under Order 30 Rule 1 of the Code of Civil Procedure³³, a plaintiff may seek a John Doe order if

³¹ *Raman Tech. & Process Eng. Co. v. Solanki Traders*, 2008 (2) SCC 302

³² *Anton Piller KG v Manufacturing Process Ltd*, [1975] EWCA Civ J1208-2

³³ Order XXX, Rule 1, Code of Civil Procedure, 1908.

they possess a compelling case and have reason to believe that their information will be used to infringe upon trade secrets, copyrights, trademarks, or any of their works for financial gain. The court may grant a John Doe order pursuant to Order 39, Rules 1³⁴ and 2³⁵ of the Code of Civil Procedure, 1908. In the case of *Taj Television Ltd. and others v. Rajan Mandal and others*³⁶, the Delhi High Court issued its first "John Doe order," also referred to as an "Ashok Kumar order."

Additionally, the Plaintiff's lawyers have a duty to execute the Anton Piller order with due regard for the Defendant's rights. These conditions are also accepted in India, as seen in the case of *Bucyrus Europe Limited v Vulcan Industries Engineering Company Private Limited*³⁷. The rights of the Defendant are further protected by the case of *Columbia Pictures Industries v Robinson*, especially when their rights are being infringed without the opportunity to present their case.

The court laid down several guidelines:

- The order should be limited to what is absolutely necessary. Once items are seized, they should be copied, and the originals returned, with a detailed record maintained.
- If there is a dispute over the ownership of the property, the Plaintiff's lawyers cannot retain the seized documents.
- The Plaintiff's lawyers must make full and frank disclosure of all relevant material.
- While executing the order, the Plaintiff should not act oppressively.
- The Plaintiff cannot seize documents that are not specified in the order.
- Failure to follow these guidelines can result in the Defendant claiming exemplary and aggravated damages for their legitimate interests.

In the recent legal dispute between tech companies Intex and Ericsson (FAO(OS) (COMM) 296/2018 and FAO(OS) (COMM) 297/2018), the Delhi High Court ruled in March 2023 that a Standard Essential Patent (SEP) owner is entitled to interim injunctive relief and full payment of royalties, regardless of the final determination of the SEP's validity and essentiality. Intex contended that Ericsson's SEPs were neither valid nor necessary and sought to invalidate them through a revocation petition. The court also found that the licensing terms were not compliant with FRAND (Fair, Reasonable, and Non-Discriminatory) principles since Intex was using only eight patents, while Ericsson offered terms for a global portfolio, which Intex deemed unfair.

Intex argued that Ericsson needed to meet the four-fold criteria established in the 2022 judgment of *Nokia Technologies Oy v. Guangdong Oppo Mobile Telecommunications Corp Ltd & Ors*³⁸ (2022/DHC/004935) to obtain interim injunctive relief in SEP-related cases in India. In *Nokia v Oppo*, Nokia, the holder of three SEPs essential for 2G, 3G, 4G, and 5G technologies, alleged that Oppo continued using the SEPs under an expired license and failed to agree on new licensing terms. Oppo challenged the essentiality of the SEPs through litigation in various jurisdictions. The court determined that interim injunctive relief required satisfaction that: (i) the SEP in question was indeed essential; (ii) the implementer was using the SEPs in manufacturing its

³⁴ *Supra* note 3.

³⁵ *Supra* note 4.

³⁶ *Taj Television Ltd. and others v. Rajan Mandal and others*, 2003 F.S.R. 22.

³⁷ *Bucyrus Europe Limited v Vulcan Industries Engineering Company Private Limited*, 2005(1)CHN106.

³⁸ *Nokia Technologies Oy v. Guangdong Oppo Mobile Telecommunications Corp Ltd & Ors*(2022/DHC/004935).

devices; (iii) such use would constitute infringement without royalty payment; and (iv) the license terms offered by the SEP owner were not FRAND compliant. Nokia did not meet this test and failed to secure an interim injunction against Oppo. However, on appeal, Nokia obtained a pro-tem deposit from Oppo due to continued SEP use during litigation, supported by infringement rulings in other jurisdictions.

In *Intex v Ericsson*³⁹, the Delhi Court rejected the application of the four-fold criteria. Consequently, Ericsson's appeal was granted, and a preliminary injunction was issued, mandating Intex to pay the full royalty amount, as Ericsson successfully demonstrated the prima facie legitimacy of its patents.

This case underscores the importance of balancing the rights of patent holders and standard implementers in India. The ongoing development of case law and discussions surrounding SEPs and FRAND licenses in India highlights the need for clear, consistent licensing processes. To reduce legal uncertainty and ensure uniform application of SEP-related laws, new legislation may be necessary to define FRAND terms and obligations clearly. Additionally, establishing clear standards for assessing patent essentiality and validity in legislative texts is essential. Currently, neither the Indian Patent Act nor other legislation fully addresses these issues.



³⁹ *Intex v Ericsson*, 2023:DHC:2243.

ABOUT THE BOOK

Basic Understanding of Specific Relief is a comprehensive legal guide that explores the intricacies of the Specific Relief Act, 1963. Edited by *Dr. Kiran Rai, Associate Professor at **Maharashtra National Law University Mumbai (MNLU Mumbai), this book is a collaborative effort by student researchers at the **Centre for Training and Research in Commercial Regulations (CTRRCR)*.

The book covers key legal remedies such as *recovery of possession, specific performance of contracts, declaratory decrees, and injunctions*, providing a practical understanding of their application in civil disputes. Written in simple and lucid language, it bridges the gap between legal theory and real-world implementation.

Published by *Integrity Education, this book serves as an essential resource for **law students, legal practitioners, and researchers, offering case-based insights and fostering analytical legal thinking. It is an initiative to promote **peer-to-peer learning* and encourage high-quality legal research.

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